Some Realism About Litigation Finance

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Third-Party Litigation Finance (TPLF) has attracted a large amount of scrutiny and criticism in recent years, ranging from targeted legislation proposed in various state legislatures and the U.S. Senate, to numerous law review articles grimly warning of its dangers to the civil justice system.

This Article takes up one specific strand of criticism -- that TPLF, if allowed by the courts -- will drive third parties to take control over the lawsuits they fund, with disastrous consequences for the funded parties, the defendants they sue, and society in general. The Article challenges every step of the criticism. First, the Article demonstrates that the examples of the seizure of control offered by the critics were not the product of third parties taking control "away" from counterparties. Second, the Article argues that, in the context of commercial TPLF, the U.C.C. already builds into its default rules the power, for the benefit of funders, to take "commercially reasonable" steps to protect their security interest, including taking steps to cause the counterparty to conduct their litigation consistent with the representations that accompanied the funding contract. Third, the Article argues that modern contract theory offers strong normative grounds for parties giving partial control to the funder to protect itself -- something quite similar to what is already in the U.C.C. Fourth, the Article argues that, given that positive law and normative contract theory support commercial TPLF contracts conveying to funders the power to limit counterparties to agreed-upon commercially reasonable conduct, the common law precedents to which the critics refer have been misread. The Article argues that, contrary to what the critics claim, the common law does not prohibit parties from drafting TPLF contract terms that give funders the power to limit counterparties to agreed-upon commercially reasonable conduct -- especially in commercial TPLF.

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Table of Contents

Introduction....3
I. Moral Panics in Law....10
II. Three Waves of Criticism of TPLF....13
A. The Vulnerable Plaintiff Critique....13
B. The Defense Bar's Critique....16
C. The Vulnerable Plaintiff and Defense Bar Critique as Normal Theory....18
D. Something New: The Funder Control Critique....20
1. Funder Control by Zombie Litigation....21
2. Funder Control by Private Equity....23
III. Causal Misattribution in the Funder Control Critique....28
A. The *Sysco* Example....28
B. The Mass Torts Examples....34
1. Patent Trolls....35
2. Damages Enhancement....37
IV. Attribution of Abnormal Motive in the Funder Control Critique....39
A. Commercial TPLF and the U.C.C....40
B. Control Over Security Interest in Commercial Law....44
C. Beyond the Default Provisions of Article 9 53
D. Contract Theory and the Partial Transfer of Control....56
1. Hands-Tying and Welfare Maximization....57
2. Welfare Maximization and Hands-Tying Provisions On Settlement 61
3. *Sysco* (again) 62
E. The Banality of Control in Commercial Law....66
V. Taking Stock: Some Realism About Litigation Finance....67
A. The Caselaw....68
1. Changes in the TPLF Markets....72
2. Changes in Other Areas of Law....73
B. Consumer TPLF....75
Conclusion....80

Introduction

Third-Party Litigation Finance (TPLF) occurs when a third party funds a stranger's attorney's costs and/or other legal expenses.[1] TPLF is the alternative to the self-financing of legal services by a party.[2] In theory, TPLF can come from a wide range of third parties in various ways. Banks can provide TPLF; for example, when a party borrows in order to pay for lawyers and expenses for upcoming litigation.[3] But parties have historically found it very difficult to secure loans secured only by the litigation funded by the loan, and this is for a variety of reasons, including the difficulty banks have evaluating lawsuits as collateral.[4] The lack of a market for bank loans secured by litigation is one reason why TPLF typically refers to transactions where repayment to the third party is contingent on the outcome of the legal

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[1] The literature on this topic is large and growing. *See* Maya Steinitz, *Whose Claim Is This Anyway? Third-Party Litigation Funding*, 95 MINN. L. REV. 1268 (2011); W. Bradley Wendel, *Paying the Piper But Not Calling the Tune: Litigation Financing and Professional Independence*, 52 AKRON L. REV. 1 (2018); W. Bradley Wendel, *Alternative Litigation Finance and Anti-Commodification Norms*, 63 DEPAUL L. REV. 655 (2014); Victoria A. Shannon, *Harmonizing Third-Party Litigation Funding Regulation*, 36 CARDOZO L. REV. 861 (2015; Victoria Shannon Sahani, *Reshaping Third-Party Funding*, 91 TUL. L. REV. 405 (2017); Anthony J. Sebok & W. Bradley Wendel, *Characterizing the Parties' Relationship in Litigation Investment: Contract and Tort Good Faith Norms*, 66 VAND. L. REV. 1832 (2013); *and* Anthony J. Sebok, *The Rules of Professional Responsibility and Legal Finance: A Status Update,* 57 WAKE FOREST L. REV. 777 (2022). There is even a casebook: ANTHONY J. SEBOK, THIRD PARTY LITIGATION FINANCE: LAW, POLICY & PRACTICE (Aspen Publishing, 2024).

[2] Victoria Shannon Sahani, *Rethinking the Impact of Third-Party Funding on Access to Civil Justice*, 69 DEPAUL L. REV. 611, 612 (2020) ("[T]hird-party funding can be simply defined as a financial arrangement between a party involved in a dispute and an outside entity through which the party seeks funding for its legal representation instead of self-financing.").

[3] *See* Suneal Bedi & William C. Marra, *The Shadows of Litigation Finance*, 74 VAND. L. REV. 563, 574 (2021) (explaining that "traditional debt" in litigation finance "imposes an absolute duty to repay the loan at set time intervals and usually requires collateral other than litigation proceeds.").

[4] *See* Douglas R. Richmond, *Other People's Money: The Ethics of Litigation Funding*, 56 MERCER L. REV. 649, 650 (2005) ("[M]ost traditional lenders are unwilling to lend money with only a potential litigation recovery as collateral because such loans are deemed to be too risky.") *and* Mariel Rodak, *It's About Time: A Systems Thinking Analysis of the Litigation Finance Industry and Its Effect on Settlement*, 155 U. PA. L. REV. 503, 505 (2006) ("[T]raditional lenders [refuse] to recognize pending litigation as an asset when determining qualification for borrowing.").

matter that was funded.[5] In TPLF, the funded party "does not have to repay the funder if it loses the case or does not recover any money."[6]

The contingent fee, where a lawyer advances his or her own time and money for expenses on a non-recourse basis, is one of the earliest types of TPLF, and at one time, was viewed with suspicion precisely because it was a form of champerty -- non-recourse litigation finance for profit.[7] But of course, by now, in the United States TPLF by lawyers has become commonplace.[8] And, while there may have been at one time great anxiety over attorney's contingent fees, and there are still occasionally efforts by the state to regulate or limit the contingent fee, there is no longer any real debate over the basic premise of the contingent fee -- that, by harnessing a lawyer's self-interest, clients, and by extension, all of society, ultimately benefit.[9]

This Article concerns forms of TPLF that involve a financing party who is not the client's lawyer. TPLF, as the term is used here, will refer to a commercial transaction involving the payment of money by one party (the funder) to a counterparty (the plaintiff) where subsequent payment to the funder is contingent on the outcome of the plaintiff's legal matter.[10] This

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[5] *See, e.g.,* Bedi & Marra, *The Shadows of Litigation Finance*, *supra* note 3 at 574 ("Virtually all litigation finance transactions are 'nonrecourse,' meaning the funder's return is secured only by proceeds from the funded case(s).").

[6] Victoria Shannon Sahani, *Judging Third-Party Funding*, 63 UCLA L. REV. 388, 392 (2016). *See also* Zeqing Zheng, *The Paper Chase: Fee-Splitting vs. Independent Judgment in Portfolio Litigation Financing of Commercial Litigation*, 34 GEO. J. LEGAL ETHICS 1383, 1384 (2021) ("Litigation finance, also known as litigation funding, is defined as the financing of litigation by third parties on a non-recourse basis, meaning that lender only demands repayment and interest payment when there are profits.").

[7] *See Backus v. Byron*, 4 Mich. 535, 551 (1857) ("But champerty presents a strong temptation . . . that of pecuniary profit; one that has a charm which captivates the man of intellect and learning and genius [including] the legal profession.").

[8] *See, e.g.,* Marc Galanter, *Anyone Can Fall Down a Manhole: The Contingency Fee and its Discontents*, 47 DEPAUL L. REV. 457, 475 (1998) ("The contingency fee lawyer is not only the client's advocate but the banker who finances his case.").

[9] See e.g., Jonathan T. Molot, *How U.S. Procedure Skews Tort Law Incentives*, 73 IND. L.J. 59, 92 (1997) ("The availability of contingent-fee arrangements . . . increases settlement amounts by improving the bargaining power of plaintiffs and enabling them to handle unreasonably high litigation costs better than defendants. By ensuring that defendants generally expect to pay fair settlements for meritorious tort claims, contingent-fee arrangements protect against underdeterrence.")

[10] *See, e.g.,* AM. BAR ASS'N, ABA BEST PRACTICES FOR THIRD-PARTY LITIGATION FUNDING 1, 10 (Aug. 2020),

excludes, therefore, TPLF motivated solely by a charitable interest and conventional (or recourse) loans secured by other assets that may be affected by the outcome of litigation.[11]

While various forms of TPLF have been employed, discussed, and debated since the early years of the English common law, TPLF has been a fixture of American law only for the past thirty years.[12] The first evidence of an organized market can be found in the development of companies that sought out plaintiffs in relatively small value personal injury claims, such as automobile accidents, workplace injuries, and landowner liability cases (but not employment discrimination, medical malpractice, or consumer fraud).[13] Companies offered "pre-settlement" funding through direct advertising to individuals who already had representation and were interested in obtaining funds in advance of the resolution of their claims, something which their lawyers were prohibited from doing and which conventional lending institutions would not do. This market is now known as the consumer TPLF market.[14]

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https://www.americanbar.org/content/dam/aba/administrative/news/2020/08/2020-am-resolutions/111a.pdf. While TPLF is sometimes sought by defendants after they have been sued, it is not a large market. It is limited by a number of factors, especially pricing. *See e.g.,* Emily Samra, *The Business of Defense: Defense-Side Litigation Financing*, 83 U. CHI. L. REV. 2299 (2016). Liability insurance, which is acquired before a defendant has been sued, is not defense-side TPLF, although there are some similarities between the two. *See, e.g.,* Charles Silver, *Litigation Funding Versus Liability Insurance: What's the Difference?*, 63 DEPAUL L. REV. 617, 621 (2014).

[11] *See, e.g.*, Lili Levi, *The Weaponized Lawsuit Against the Media: Litigation Funding as a New Threat to Journalism*, 66 AM. U. L. REV. 761, 765 (2017) (charitable legal finance) *and* Adam J. Levitin, *Bankruptcy Markets: Making Sense of Claims Trading*, 4 BROOK. J. CORP. FIN. & COM. L. 67, 74–75 (2009) (alternative assets trading on outcome of litigation). *See also NorCal Tea Party Patriots v. Internal Revenue Serv.*, 2018 WL 3957364, at *2 (S.D. Ohio Aug. 17, 2018) (recognizing the important role of litigation funders in public interest litigation).

[12] *See, e.g,* Lord David Neuberger, *From Barretry, Maintenance and Champerty to Litigation Funding,* THE HARBOUR LECTURE (2013) (http://www.supremecourt.gov.uk/docs/speech-130508.pdf); Anthony J. Sebok, *The Inauthentic Claim*, 64 VAND. L. REV. 61 (2011); *and* Steven Garber, *Alternative Litigation Financing in the United States: Issues, Knowns, and Unknowns*, RAND INST. FOR CIV. JUST. L., FIN., AND CAP. MKTS. PROGRAM 1, 1 (2010) (https://www.rand.org/pubs/occasional_papers/OP306.html).

[13] *See, e.g.,* Ronen Avraham & Anthony J. Sebok, *An Empirical Investigation of Third-Party Consumer Litigant Funding,* 104 CORNELL L. REV. 1133 (2019).

[14] *See, e.g,* Garber, *Alternative Litigation Financing in the United States, supra* note

Subsequent to the development of the consumer TPLF market, another market oriented towards business litigation involving much more complicated and expensive legal proceedings developed.[15] The development of this market, known as commercial TPLF, proceeded along parallel tracks in various common law jurisdictions, but especially in the United Kingdom and the United States.[16] Over the past twenty years commercial TPLF has grown in size in both the UK and United States to the point where it exceeds consumer legal finance in terms of market size, and comprises an asset class of at least $15 billion.[17]

Like any novel form of commercial activity, TPLF has generated a variety of responses from private and public sector entities concerned that it may harm larger social interests. The most immediate concerns have come from those who worry that the consumer TPLF market, if left unregulated and unwatched, will follow the same pattern as other consumer finance products that caused harm when left unregulated, such as subprime lending and other forms of predatory consumer credit.[18] But concerns over TPLF have widened, and have come from unusual quarters. Commercial TPLF, which by definition and in practice only involves commercial parties, such as entrepreneurs, partnerships, corporations, has become the subject of a wide range of criticism and regulatory concern. Some of the concerns are rooted in the historical suspicion of defense-side interest groups of any form of increased plaintiff activity (even on behalf of commercial plaintiffs, such as patent holders and small businesses), on the ground that such activity is ultimately bad for American business and, by extension, America as a nation.[19] Some of the concerns are rooted in new forms of nationalism,

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12 at 1.

[15] *Ibid at* 1, 13.

[16] *Id.*

[17] Westfleet Advisors, a U.S. commercial legal finance consultancy, has been tracking the market since 2019. Westfleet estimates that approximately $3 billion annually is invested by commercial TPLF firms with a nexus to the U.S, and that those firms have approximately $15 billion under management. See, e.g., WESTFLEET ADVISORS, 2023 LITIGATION FINANCE MARKET REPORT (https://www.westfleetadvisors.com/wp-content/uploads/2024/03/WestfleetInsider2023-Litigation-Finance-Market-Report.pdf).

[18] *See, e.g.,* Paige Marta Skiba & Jean Xiao, *Consumer Litigation Funding: Just Another Form of Payday Lending?,* 80 LAW & CONTEMP. PROBS. 117 (2017) *and see infra* Section II.A.

[19] *See e.g.,* Thomas Holzheu, James Finucane, & Irina Fan, *US Litigation Funding and Social Inflation: The Rising Costs of Legal Liability,* SWISS RE INSTITUTE (2021)

where the specter of foreign governments funding litigation to harm American interests is raised as a justification for special rules concerning foreign-funded TPLF.[20] Some of the concerns are rooted in the observed behavior of investors in other markets, and is based on the concern that treating lawsuits as an investment opportunity will have unexpected negative consequences for both the investors and litigants.[21]

This Article's purpose is to expose a serious flaw in the current state of debate over TPLF. While there are many serious problems with TPLF, and while there are a variety of reforms and legal arguments about it which serious people can contest in good faith, current debate over TPLF is has been dominated by unproductive and occasionally pretextual concerns.[22]

(https://www.swissre.com/institute/research/topics-and-risk-dialogues/casualty-risk/us-litigation-funding-social-inflation.html) (TPLF causes "social inflation"); Evan Greenberg & John Doyle, *End the Tax Break for Litigation Funders,* WALL STREET JOURNAL, July 7, 2025 (according to CEOs of two large insurers, TPLF turns tort law into "an industry that extracts rent from the legal system far beyond its intended social good"*)*; *and see infra* Section II.B..

[20] *See, e.g.,* Peter C. Choharis, *National Security Implications of Foreign Third-Party Litigation Financing,* AMERICAN SECURITY PROJECT, May 8, 2025 (https://www.americansecurityproject.org/perspective-national-security-implications-of-foreign-third-party-litigation-financing/) *and* Editorial, *Chamber Pushes for Reform as Foreign Investors Exploit U.S. Legal System Through Litigation Funding*, RISK & INSURANCE, June 19, 2025 (https://riskandinsurance.com/chamber-pushes-for-reform-as-foreign-investors-exploit-u-s-legal-system-through-litigation-funding/).

[21] See, e.g., J.B. Heaton, *The Siren Song of Litigation Funding*, 9 MICH. BUS. & ENTREPRENEURIAL L. REV. 139 (2019) (describing reasons why TPLF investments will underperform expectations); Samir D. Parikh, *The Alchemist's Inversion,* 110 CORNELL L. REV. 101, 107 (forthcoming 2025) (comparing TPLF in mass torts to the distressed debt market which has "ignor[ed] market norms and contractual restrictions in [its] quest for premium"); *and* Lisa Rickard, *Why Are Hedge Funds Allowed to Invest in Litigation?* THE ATLANTIC, July 3, 2012 (TPLF "makes a mockery of our system of justice by placing the profiteering of outside investors ahead of the interests of the parties in court") (Rickard was executive vice president of the U.S. Chamber of Commerce).

[22] The concern over foreign investment in TPLF falls into this category. *See e.g.*, Daniel Connolly, *US Chamber's Litigation Funding Concerns Spur 2 State Laws*, LAW360, March 20, 2024 (https://www.law360.com/pulse/articles/1812345/us-chamber-s-litigation-funding-concerns-spur-2-state-laws) (According to a sponsor of the Indiana law "lawyers will remain free to use litigation funding [but] 'You just have to tell the defense that, "Hey, we're suing you, and we're using money from France to do that."'"). Perhaps the most vivid example of a pretextual response to TPLF was the effort to insert a special excise tax on TPLF revenues in the so-called "Big Beautiful Bill" in June 2025. *See, e.g.,* Gregg D. Polsky, *Something New Under the Sun: Tax Weaponization via Reconciliation*, TAX NOTES, June 27, 2025

The current deplorable state of debate over TPLF has been accompanied by a preoccupation with an imaginary problem -- fear that control over litigation by funders will lead to catastrophic consequences.[23] Current academic and legal debate over TPLF has become obsessed with the question of "control" and, as a result, has diverted valuable time and energy away from addressing TPLF in ways that could improve it so that it can be a valuable and constructive part of the modern legal system.

This Article will proceed in five sections. Section I sets out the theory of "moral panics" and explain how that theory has been used by legal scholars. The reason for starting with an academic theory developed by sociologists, historians, and criminologists is that the specific response to TPLF that I want to critique -- the so-called "Funder Control Critique"-- is wrong in a way different from other critiques lodged against TPLF.[24] It draws a fallacious causal inference between a somewhat obscure legal device -- the partial transfer of control over litigation -- and serious social harms that deserve our attention. And it does so by demonizing one legal character -- the funder. These moves are characteristic of a moral panic in law.

Section II catalogs three different major critiques of TPLF, the Vulnerable Plaintiff Critique, the Defense Bar Critique, and the Funder Control Critique. The first two critiques are distinguishable from the third not because the former are more persuasive than the latter but because the former purport to offer a critique of TPLF based on its observed effect on identifiable social interests, whereas the latter -- Funder Control Critique -- relies on invented or spurious causal claims. Section III examines the spurious causal claims of the Funder Control Critique in depth. Two types of causal stories are debunked. The first is the allegation that in a well-known commercial TPLF contract, the funder attempted to impose unreasonable settlement terms on the counterparty/plaintiff.[25] The second is the allegation that in a variety of cases involving consumers, funders harmed the counterparty/plaintiffs by taking control of settlement from the consumers.[26]

Section IV confronts the hidden normative engine at work in a moral panic in law -- the attribution of abnormal or aberrant character to the

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(https://www.taxnotes.com/featured-analysis/something-new-under-sun-tax-weaponization-reconciliation/2025/06/26/7sl58) (the "unprecedented" proposal would "create special tax rules designed to decimate a particular industry").

[23] See, infra Section II.D.

[24] See, infra Section II.C.

[25] See, infra Section III.A.

[26] See, infra Section III.B.

putative source of the problem. The Funder Control Critique portrays any transfer of control in the conduct of litigation between contracting parties as out of step with the law.[27] Section IV will demonstrate that commercial law treats the transfer of control over the conduct of litigation as perfectly normal, and builds it into the architecture of the U.C.C.'s Article 9.[28] Section IV also provides a justification for the view adopted by commercial law based on modern contract theory. Rather than view the partial transfer of control as aberrational, modern contract theory supports the conclusion that it is a tool that rational, self-interested, and sophisticated parties would choose under specified conditions.[29]

Section V takes up two lingering questions. First, notwithstanding what commercial law and contract theory might say, should they be allowed to run roughshod over centuries of common law precedent, which seems to point towards the position adopted by the Funder Control Critique?[30] In Section V, Legal Realism is invoked to explain why the common law analysis upon which the Funder Control Critique relies is incomplete. The narrow holdings of certain cases must be read as a Legal Realist would read them -- in the context of the dynamic changes that have occurred over the Twentieth Century, both in terms of statutory change and subsequent precedents that significantly reduces (if not eliminates) the ratio decidendi upon which the Funder Control Critique relies.[31] Finally, Section V concludes by taking up the question of consumer TPLF. Assuming that the Funder Control Critique is wrong in connection to commercial TPLF, does that mean that the current common law should treat questions of control by funders in consumer transactions the same as the courts should treat questions of control by funders in commercial transactions?[32] Section V's answer is a clear "no". Taking the lessons of Legal Realism one step further, the Article concludes by acknowledging that the caselaw (and some statutes) provide judges with reasons to question the enforceability of various contractual provisions of consumer TPLF contracts.[33]

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[27] See, infra Section IV.

[28] See, infra Section IV.A.

[29] See, infra Section IV.B.

[30] See, infra Section V.

[31] See, infra Section V.A.

[32] See, infra Section V.B.

[33] See *ibid*.

I. Moral Panics in Law

The phrase "moral panic" first entered into academic discourse in the United Kingdom and United States in the early 1970's.[34] An early example was Stanley Cohen's study of how teenagers fighting at an English seaside resort in 1964 "led to overwrought newspaper headlines, widespread public anxiety, redeployment of police resources, anticrime legislation, and exemplary punishments."[35] Since then, the theory has been used to explain a diverse range of social events, including, for example, witch-hunts in Early Modern Europe.[36] The phrase has entered popular culture and mainstream politics; one effective way to discredit an opponent is to accuse them of stirring up a "moral panic" for partisan advantage over some issue.[37]

Moral panic has also found a natural audience among law professors, especially those who study criminal law. Moral panic may provide insights into when and why legislatures focus on certain activities and populations.[38] Legal academics have deemed certain popular policies to be the product of moral panics: "three strikes" laws[39]; teen "superpredator" laws[40]; and sex registry laws.[41] The concept has been applied to other areas of law, as well. Some intellectual property scholars have argued that moral panics have

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[34] *See, e.g.,* Michael Levi, *Suite Revenge?: The Shaping of Folk Devils and Moral Panics about White-Collar Crimes*, 49 BRIT. J. CRIMINOLOGY 48, 48 - 49 (2009) (on history of academic theory of moral panic in legal scholarship).

[35] Michael Tonry, *Rethinking Unthinkable Punishment Policies In America* 46 UCLA L. REV. 1751, 1781 (1999) (*summarizing* STANLEY COHEN, FOLK DEVILS AND MORAL PANICS (1972)).

[36] *See, e.g.,* Nachman Ben-Yehuda, *The European Witch Craze Of The 14th To 17th Centuries: A Socio- Logical Perspective.* 86 AM. J. SOCIOL. 1 (1980).

[37] *See, e.g.*, Chris Pepin-Neff*, The Moral Panic Presidency: Donald Trump's Ignoble Legacy of Disharmony And Demonisation*, Australian Broadcasting Corp., May 27, 2025, https://www.abc.net.au/religion/chris-pepin-neff-moral-panic-presidency-of-donald-trump/105346134.

[38] *See, e.g.*, Philip Jenkins, *Failure to Launch: Why Do Some Social Issues Fail to Detonate Moral Panics?*, 49 BRIT. J. CRIMINOLOGY 35 (2009)

[39] *See, e.g.*, Catherine L. Carpenter, *Panicked Legislation,* 49 J. LEGIS. 1, 17 (2022) (attributing California's "three strike" law to a moral panic despite its "premises . . . never [having] been accepted by either scholars or law enforcement").

[40] *Ibid* at 29 ("Professor DiLulio's [superpredator theory] was ultimately debunked, but not before the mythical narrative of the marauding teen left its mark").

[41] *See, e.g.*, Bela August Walker, *Deciphering Risk: Sex Offender Statutes and Moral Panic in a Risk Society*, 40 U. BALT. L. REV. 183 (2010).

been crucial to the development of modern patent and copyright law.[42] One scholar has even argued that the Sarbanes-Oxley Act of 2002 achieved much less than it could have, in terms of structural reforms, because Congress understood the Enron scandal through the lens of a moral panic.[43]

As others have noted, there is a diversity of types of moral panic theories, and the phrase has been used in so many different ways and for so many different purposes that it must be used with caution.[44] All moral panic theories share the same assumption: that is, some -- not all -- social regulation is driven not by a response to "objective, concretely real" conditions, but by a response to subjective "constructions" of material conditions that attribute, falsely, causal connections between "deviant" behavior and purported social harms.[45] Moral panic theory (especially when adopted by legal scholars) does not need to be skeptical about the real, concrete existence of social harms, or whether *some* members of society have genuinely experienced those harms.[46] The key insight of moral panic theory is that

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[42] *See, e.g.*, Edward Lee, *Patent Trolls: Moral Panics, Motions* in Limine*, and Patent Reform*, 19 STAN. TECH. L. REV. 113, 116 (2015) (describing the "prejudice [that] leads to a moral panic in which rational policymaking and decision-making give way to hysteria to fight the proverbial "folk devil" (substitute: patent troll)") *and* WILLIAM PATRY, MORAL PANICS AND THE COPYRIGHT WARS (2009) 139 *("*Moral panics are essential to proponents of ever-expanding copyright rights . . . [it is] hard to enact controversial legislation . . . unless you can convince legislators that folk devils pose an existential threat.").

[43] *See* José Gabilondo, *Financial Moral Panic! Sarbanes-Oxley, Financier Folk Devils, and Off-Balance-Sheet Arrangements*, 36 SETON HALL L. REV. 781, 800 (2006):

> In a financial moral panic the economic anxiety stays in the economic sphere but plays out in a new form. . . . Since indifferent markets could not be blamed for these investment and employment losses, bad people would have to be . . . causation in this instance explained financial losses in terms of personal morality, not market movements, as reflected in the moral critiques of accounting scandals issued at the time.

[44] *See, e.g.,* Michael L. Smith, *Moral Panic and the First Amendment*, 72 BUFF. L. REV. 455, 471 (2024) (noting that in some circumstances "moral panic may be employed in a fast and loose manner where it is an empty pejorative used to label something an author or speaker dislikes without consideration of the term's deeper meaning and origins").

[45] *See, e.g.,* Erich Goode & Nachman Ben-Yehuda, *Moral Panics: Culture, Politics, and Social Construction*, 20 ANN. REV. SOCIOLOGY 149, 151 - 52 (1994).

[46] *See, e.g.,* Carpenter, *Panicked Legislation, supra* note 39 at 16 - 17 (describing the initial human tragedies that parked moral panics, including the deaths of Polly Klass (three strikes law) and Megan Kanka (Megan's Law/sex offender registration)).

often "objective harm and public concern vary in large measure independently of one another."[47] Moral panic theory is interested in the source of the variance between objective reality and the construction of a social problem (or harm):

> Why is a social problem "discovered" in one period rather than another? What steps are taken, and by whom, to remedy a given condition? Why do segments of the society take steps to remedy this condition but not that, even more harmful, one? Who wins, and who loses, if a given condition is recognized as a social problem? . . . [T]he moral crusade is one crucial avenue through which certain conditions are constructed and validated as social problems.[48]

Further, moral panic theory consistently relies on distinguishing between two steps in the construction of a social problem. The first step is the social construction of a threat: attributing saliency to a bundle of risks which are not, in fact more or less salient than any other.[49] Again, it is not that the social disorder that "sparks" the moral panic does not exist, but what is constructed is its significance compared to other risks *not* treated as salient: "[S]upposed effects are noticed and linked to the offending agents that, in ordinary times for ordinary behavior, would have disappeared in the routines and hubub of everyday life."[50]

The second step is the social construction of the deviant cause: attributing an abnormal or aberrant motivation to the actor who purportedly generated the threat.[51] Here too, it is important to stress that moral panic theory does not depend on denying that, as a matter of objective reality, the

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[47] Goode & Ben-Yehuda, *Moral Panics, supra* note 45 at 152.

[48] *Ibid.*

[49] *See id. at* 156 ("harm, wrongness, or deviance is attributed to the behavior, condition, or phenomenon *that is routinely ignored* when the same consequences are caused by or attributed to more conventional conditions").

[50] *Id.* An illustration of this first act of construction is, according to Arya Gruber, is how campus date rape was constructed as a social problem after 2000. See Arya Gruber, *Anti-Rape Culture*, 64 KAN. L. REV. 1027 (2016) (painting a picture of widespread, but unnecessary, anxiety of rapes on campuses).

[51] See Carpenter, *Panicked Legislation*, *supra* note 39 at 13 ("'[a] person or group [is] defined as a threat to societal values and interests.' The threat . . . comes in many shapes and sizes, all of which represent the manifestation of evil poised to destabilize the wellbeing of a society") (*quoting* STANLEY COHEN, FOLK DEVILS AND MORAL PANICS: THE CREATION OF THE MODS AND ROCKERS 3 (2002)).

target of the censure may have actually done some of the things that triggered the reaction. Rather, moral panic theory focuses on the use of stereotypes to "identify[] the enemy, the source of the threat, [the] selfish, evil wrongdoers who are responsible for the trouble."[52] In law, in particular, moral panic theory provides a way to talk about different types of social judgment. Every overt act by the state to modify behavior is based, at some level, on a normative judgment about that behavior; to label every overt act by the state a form of "panic" is silly. When, however, a threat is constructed out of spurious causal assumptions, and the ground for identifying the source of the threat arises from an *a priori* assumption about the motives or character of an actor, then it is likely that the state's response is based on a moral panic.[53]

II. Three Waves of Criticism of TPLF

A. The Vulnerable Plaintiff Critique

The recent success and growth of TPLF has made it the subject of both scrutiny and criticism. At the dawn of the modern TPLF market, the main focus was on the consumer TPLF market. A handful of articles were published by legal academics who observed that the consumer TPLF market resembled the subprime lending market, which, in the early 2000's, was drawing (with justification) negative attention.[54] The basis of the

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[52] See Goode & Ben-Yehuda, *Moral Panics*, *supra* note 45 at 156.

[53] As Hon. Mary Katherine Huffman put it, "[W]hat began as mere concern surrounding an identifiable group grows in such intensity that boundless fear directed at the scourged no longer bears any relation to an actual threat." Mary Katherine Huffman, *Moral Panic and the Politics of Fear: The Dubious Logic Underlying Sex Offender Registration Statutes and Proposals for Restoring Measures of Judicial Discretion to Sex Offender Management*, 4 VA. J. CRIM. L. 241, 247 (2016). *See also* Susan Bandes, *The Lessons of Capturing the Friedmans: Moral Panic, Institutional Denial, and Due Process*, 3 J.L. CULTURE & HUM. 293, 297, 301 (2007) (In moral panics there is not only an exaggeration of (1) the harmful behavior which is the target of the social response but also (2) a distortion of the meaning of the behavior: Punishing the wrongdoer to demonstrate "fealty to civilized norms" with failure to punish as "a betrayal of those norms.").

[54] *See, e.g.,* Susan Lorde Martin, *Financing Plaintiffs' Lawsuits: An Increasingly Popular (and Legal) Business*, 33 U. MICH. J.L. REFORM 57 (2000); Susan Lorde Martin, *The Litigation Financing Industry: The Wild West of Finance Should Be Tamed Not Outlawed*, 10 FORDHAM J. CORP. & FIN. L. 55 (2004); Susan Lorde Martin, *Litigation Financing: Another Subprime Industry That Has a Place in the United States Market,* 53 VILL. L. REV. 83 (2008); *and* Yifat Shaltiel & John Cofresi,

comparison is easy to see. The intended target of consumer TPLF was not only individuals, as opposed to commercial enterprises, but individuals with few resources, such as savings, who were especially vulnerable to settlement pressure because they may have expected to pay for medical and living expenses out of the proceeds from their lawsuits. Given that they were more likely to come from less-advantaged parts of society, these individuals often were not in a position to bargain and were vulnerable to predatory business practices employed by the consumer TPLF funders. Furthermore, consumer TPLF contracts had features that were unusual. Although the consumer TPLF firms insisted that, since, the payment obligation was contingent on the consumer settling or winning their lawsuit, they were not lending money to the consumer, yet the contracts calculated the nonrecourse payment owed to the funder on the basis of the number of months between the receipt of the advance and the contingent resolution of the lawsuit -- much like other recourse loans, such as a credit card, with which the consumer was already familiar. Finally, and most important, the absolute rate of return earned by the consumer TPLF funder if the consumer settled or won her lawsuit was very high -- much higher than almost any other consumer finance product. It was not uncommon in the early years of the industry for consumer TPLF contracts to oblige the consumer to pay to the funder an effective APR of over 200%.[55]

It should come as no surprise, that the consumer TPLF market drew significant attention from those who were concerned that vulnerable plaintiffs would be exploited. This led to what may be called the "Vulnerable Plaintiff Critique". The Vulnerable Plaintiff Critique did not oppose consumer TPLF in principle; nor did it start off with the assumption that all consumer TPLF should be prohibited. The Vulnerable Plaintiff Critique was concerned with the price of consumer TPLF and whether consumers were making decisions about funding with adequate information. For some, the critique entailed the conclusion that consumer TPLF should be regulated like other forms of consumer debt, with upper limits on how much

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Litigation Lending for Personal Needs Act: A Regulatory Framework to Legitimatize Third Party Litigation Finance, 58 CONSUMER FIN. L. Q. REP. 347 (2004).

[55] *See, e.g.*, Skiba & Xiao, *Consumer Litigation Funding, supra* note 18 at 122 (reporting that the "interest rates in funding are high: they can vary from 2-15% per month, resulting in APRs over 200%") *and* Courtney R. Barksdale, *All That Glitters Isn't Gold: Analyzing the Costs and Benefits of Litigation Finance*, 26 REV. LITIG. 707, 726 (2007) ("Advertisements for litigation loans provide that the loans they issue generally vary from 3% to 15% per month."). (It should be noted that the typical consumer TPLF contract compounds the monthly interest charged.)

funders could earn from their contracts with consumers.[56] For others, the critique led to reforms that were not based on the assumption that consumer TPLF was a form of consumer debt and instead focused on giving consumers more information and an opportunity to rescind.[57]

The concerns raised by The Vulnerable Plaintiff Critique were serious and, to this day, deserve continued attention from policymakers and scholars. The initial ground for concern -- the fear that, as in other subprime markets, consumer exploitation is taking place -- has in fact generated body of work which places the consumer TPLF contracts in a context in which consumer-protective reforms can be weighed and compared. For example, one academic study discovered that, while the contracts offered to consumers claimed very high rate of return-- consistent with what the critics claimed -- in realty, the funders rarely collected those rates from the consumers, and in fact, the actual rate of return in consumer TPLF was much lower than what was first reported.[58] Other academic research has argued, perhaps counterintuitively, that, for the same reasons that "payday lending" promotes consumer welfare in economically marginal communities, so does consumer TPLF, even though they are different in significant ways.[59] As a

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[56] The Colorado Supreme Court, for example, held that consumer TPLF created consumer debt and therefore fell within the statutory limits established under the Colorado Uniform Consumer Credit Code. *Oasis Legal Fin. Grp., LLC v. Coffman,* 61 P.3d 400 (Colo. 2015). *See also Odell v. Legal Bucks, LLC,* 665 S.E.2d 767 (NC Ct. App. 2008) (state usury law applied to consumer TPLF). For states that placed statutory limits on the amount that funders could earn from a consumer TPLF contract, see Ronen Avraham, Anthony Sebok, & Joanna Shepherd, *The Whac-A-Mole Game: An Empirical Analysis Of The Regulation Of Litigant Third Party Financing*, 25 THEORETICAL INQUIRIES L. 117 (2024) (reviewing state laws).

[57] In New York, the Attorney General, who had started an investigation into the consumer TPLF market, negotiated a settlement with a trade group representing the largest funders operating in the state that did not set an upper limit on how much a funder could charge. *See* Attorney Gen. of N.Y., Bureau of Consumer Frauds & Prot., ASSURANCE OF DISCONTINUANCE PURSUANT TO EXECUTIVE LAW § 63(15) (Feb. 17, 2005), *and see* Jenna Wims Hashway, *Litigation Loansharks: A History of Litigation Lending and a Proposal to Bring Litigation Advances Within the Protection of Usury Laws,* 17 ROGER WILLIAMS U. L. REV. 750, 777 (2012) (criticizing the settlement).

[58] *See* Avraham & Sebok*, An Empirical Investigation of Third Party Consumer Litigation Funding*, *supra* note 13 at 1142 (while funding contracts nominally claimed median per annum rates of return of 115%, the funder received a median 43% per annum rate of return from those contracts, once post-contract concessions and defaults were taken into account).

[59] *See* Skiba & Xiao, *Consumer Litigation Funding: Just Another Form of Payday*

result, these scholars recommend disclosure regimes, similar to New York's, and oppose limits on pricing, which is what those states that treat consumer TPLF as consumer debt have done.[60]

B. The Defense Bar's Critique

Soon after The Vulnerable Plaintiff Critique came a second wave, which was concerned with the impact of TPLF on defendants. This second wave may be fairly described as the "Defense Bar's Critique". Typical of the Defense Bar's Critique was a report published in 2009 by the Institute for Legal Reform, a legal policy advocacy group sponsored by the U.S. Chamber of Commerce, titled *Selling Lawsuit, Buying Trouble: Third-Party Litigation Funding In The United States*. The report's bottom line was quite simple: it called for the prohibition of all TPLF.[61] Given the source of this report, it is not a surprise that this criticism was rooted in concern for the effect of TPLF on defendants -- especially business defendants -- and not consumers. The report relied on two arguments. First, that more capital for plaintiffs' lawyers meant more lawsuits brought on behalf of plaintiffs, which meant more "non-meritorious" lawsuits, which meant a "decrease in justice" in the United States.[62] Second, more capital for plaintiff's meant that even in meritorious cases, the "funder's presence prolongs . . . litigation beyond what is fair or necessary."[63] The report concluded that:

> [F]rom the *defendant's perspective*, by guaranteeing that plaintiffs will have sufficient funding to prosecute even questionable claims

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Lending, *supra* note 18 at 131.

[60] *Ibid* at 132 - 33.

[61] *See, e.g.* John Beisner et al., U.S. Chamber Inst. For Legal Reform, Selling Lawsuits, *Buying Trouble: Third-Party Litigation Funding In The United States* 2 (2009), http://www.instituteforlegalreform.com/uploads/sites/1/thirdpartylitigationfinancing.pdf ("Finally, [this] paper proposes that third party litigation financing be prohibited in the United States").

[62] *Ibid* at 4 (funders "increase the overall litigation volume, including the number of non-meritorious cases filed, and thus effectively reduce (not increase) the level of justice in the litigation system"). The footnote supporting this claim noted that "[e]xamples abound of small businesses pushed to the brink of bankruptcy by lawsuit abuse." *Id.* n.10 (citations omitted).

[63] *Id.* at 6. This is "because third party litigation funding creates a disincentive for plaintiffs to settle at an amount below the value suggested by the financing arrangement, irrespective of whether that amount reflects a fair value for the claim as indicated by the strengths and weaknesses of the litigation." *Id.*

> through trial, third-party funding creates pressure on defendants to settle all but the most frivolous claims, often on sub-optimal terms, and at an amount much higher than the merits based value of the claim.[64]

Throughout the next fifteen years, the Defense Bar's Critique sometimes raised concerns that were not exclusively those of defendants. For example, the Defense Bar's Critique expressed a great deal of concern about the risk that tribunals might not be able to exercise their basic obligation to avoid conflicts of interest if TPLF were to become increasingly common, since the disclosure rules that were developed (for example) for the federal courts, did not, arguably, require a plaintiff to provide the court with information which could assist it to determine whether it was financially or personally connected to the plaintiff's funder.[65] The U.S. Chamber argued that "requiring disclosure of [funders'] role will allow judges to determine whether they have a conflict of interest in administering a case."[66] But even when couched in the language of maximizing the general social welfare, the Defense Bar Critique was rooted in the assumption that immediate relief for defendants from lawsuits funded by TPLF would indirectly benefits American society in general.[67]

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[64] *Id. at* 7 (emphasis added).

[65] The Federal Rules of Civil Procedure requires nongovernmental corporate entities to disclose "any parent corporation and any publicly held corporation owning 10 percent or more of its stock." Fed. R. Civ. Proc. 7.1(a)(1) (2007).

[66] *Letter of Harold Kim & Anthony Anastasio re: Proposed Local Rule 7.1.1. -- Disclosure of Third-Party Litigation Funding (D.N.J.)* (2021) at 3 (quoting Tripp Haston, *The Missing Key to 3d-Party Litigation Funding*, Law360 (Feb. 7, 2017), https://www.law360.com/articles/888716/the-missing-key-to-3rd-party-litigation-funding).

[67] *See, e.g.,* Roland Eisenhuth, *Lawsuits Shouldn't Be Shadow Assets For Foreign Capital,* April 9, 2025, https://www.law360.com/articles/2320125/lawsuits-shouldn-t-be-shadow-assets-for-foreign-capital:

> [TPLF's] result is pure inefficiency: higher settlement demands, longer timelines and a shrinking joint surplus — with a portion siphoned off by financiers who are neither parties nor stakeholders in the dispute. Insurance markets, for example, feel this acutely: escalation driven by third-party litigation financing inflates claims and introduces volatility, forcing insurers to price risk in an environment untethered from adjudicative norms — an implicit tort tax passed through to every policyholder.

C. The Vulnerable Plaintiff and Defense Bar Critique As Normal Theory

The Vulnerable Plaintiff Critique and Defense Bar Critique of TPLF differ in many ways. The former was rooted in the negative experiences of many consumer advocates with financial products marketed to the general public, while the latter was rooted in the negative experiences of many repeat-player defendants (including liability insurers) with the plaintiff's bar. Obviously, these critiques represent incompatible views of litigation which, in their purest versions, rely on empirical and normative claims which are mutually exclusive.[68] One need not be neutral between these two views of litigation; in fact I have stated with some firmness that I think the former is more persuasive than the latter.[69] But despite the dramatic differences between the empirical and normative foundations of these critiques, both share -- superficially, at least -- a common methodology. They both purport to offer a critique of TPLF based on its observed effect on identifiable social interests. The Vulnerable Plaintiff Critique argues, instrumentally, that were it the case that the cost of consumer TPLF was as high as indicated on many contracts, and consumers are, as some research has suggested, predictably irrational in their contracting, then consumer welfare would be increased by certain targeted reforms of TPLF. The Defense Bar Critique argues, instrumentally, that were it the case that TPLF, in general, increased the absolute number of groundless lawsuits, and, in specific, increased the net cost to defendants of resolving meritorious lawsuits, then defendant's welfare would be increased by eliminating or limiting TPLF.

Again, while it is not necessary to pretend that these two different critiques are equally plausible (or based on comparable political or moral motivations), it is still important to acknowledge that they are, more or less, both instrumentally rational forms of legal critique. They are not, like moral panics in law, constructing a threat to the social interest they claim needs

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[68] The Vulnerable Plaintiff Critique, while most directly rooted in a certain picture consumer rationality, and the need to accommodate how consumers actually behave, would certainly disagree with the assumptions of tort reformers like the U.S. Chamber. The Vulnerable Plaintiff Critique would almost certainly be in alignment with those who view most plaintiffs (e.g. non-commercial parties) as structurally disadvantaged in the American civil justice process. *See, e.g.* Charles R. Epp, *The Two Motifs of "Why the 'Haves' Come Out Ahead" and Its Heirs*, 33 L. & SOC'Y REV. 1089 (1999).

[69] *See, e.g.,* Anthony J. Sebok, *Dispatches from the Tort Wars: A Review Essay,* 85 TEX. L. REV. 1465 (2007) (review essay on three recent books on tort reform and civil litigation).

protection. If one is committed to improving consumer welfare, and one accepts as a *prima facie* matter that consumer TPLF is like payday lending, then the conclusion that TPLF ought to be reformed is rooted in a theory about a salient feature of TPLF. If one is committed to improving defendants' welfare, and one accepts as a *prima facie* matter that TPLF will fuel more frivolous lawsuits and will raise the cost of resolving meritorious lawsuits, then the conclusion that TPLF ought to be reformed is rooted in a theory about a salient feature of TPLF.

Furthermore, one need not attribute abnormal or aberrant motivations to the actors who purportedly generated the salient feature of TPLF that generate the social harms that need reform. The Vulnerable Plaintiff Critique of TPLF does not make any claims about the motives of the vendors in the consumer market, although there is no reason to believe that the companies are especially ethical or stand in solidarity with their clients. The Defense Bar Critique is a bit more complicated. It must be conceded that sometimes the U.S. Chamber and its allies have cast aspersions on the motives of TPLF providers, but this may be nothing more than overheated rhetoric.[70] More often, the Defense Bar Critique portrays the TPLF industry as a relatively new but familiar part of Wall Street -- and therefore (for better or worse) indistinguishable in character from other financial industries which help its constituents invest and thrive.[71] Even if, as is sometimes the case, that tort refomers and members of the defense bar are skeptical about

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[70] *See, e.g.,* U.S. Chamber Institute of Legal Reform, STOPPING THE SALE ON LAWSUITS: A PROPOSAL TO REGULATE THIRD PARTY INVESTMENTS IN LITIGATION (2012) (https://instituteforlegalreform.com/research/stopping-the-sale-on-lawsuits-a-proposal-to-regulate-third-party-investments-in-litigation/) at 15 (The "[Institute of Legal Reform] is, and always will be, a champion of free enterprise. ILR believes, however, that TPLF is antithetical to all notions of free enterprise.").

[71] *See, e.g.,* U.S. Chamber of Commerce Institute for Legal Reform, GRIM REALITIES: DEBUNKING MYTHS IN THIRD-PARTY LITIGATION FUNDING (2024) (https://instituteforlegalreform.com/research/grim-realities-debunking-myths-in-third-party-litigation-funding) at 5 ("far from serving as an altruistic business endeavor for allegedly injured claimants, TPLF is just a vehicle for maximizing funders' return on their investments"); *and see* EJF JOINT BUSINESS STATEMENT ON THIRD PARTY LITIGATION FUNDING (TPLF), June 24, 2024 (https://europeanjusticeforum.org/recent/news/ejf-joint-business-statement-on-third-party-litigation-funding-tplf):

> TPLF allows private financiers, like investment and hedge funds . . . to fund lawsuits and arbitration . . . . TPLF is . . . [a] financial and legal commercial activit[y]. Private TPLF is not meant to be a public service, and funders can in fact decline to back cases, even meritorious ones, if they do not offer a sufficient financial return.

the lawsuits funded by TPLF, the assumption is typically that the financier behind the funding are "rational" actors responding to the incentives created by the current market for civil litigation.

In other words, while the Vulnerable Plaintiff and Defense Bar critiques represent challenges to TPLF arising from different policy perspectives, and warrant differing degrees of consideration, neither bear any of the hallmarks of a moral panic. They are, in that sense, ordinary or standard instances of legal critique: they are the product of the normal, albeit predictably politicized, ebb and flow of debate that arises whenever a new legal practice or activity emerges that challenges the status quo.

D. Something New: The Funder Control Critique

However, recently a third wave of critique of TPLF has emerged that is different from the Vulnerable Plaintiff and Defense Bar Critiques. I call this third wave the "Funder Control Critique" of TPLF. It has emerged in law review articles, policy statements, and even some court decisions.[72] The Funder Control Critique will be described in great detail below, but its basic point is that funding contracts which oblige plaintiffs to commit to specified litigation outcomes should be illegal.

The Funder Control Critique is not simply an extension of the Vulnerable Plaintiff and Defense Bar Critiques, although sometimes its proponents suggest that the protection of consumers or the reduction of frivolous lawsuits would be welcome side-effects were courts and regulators to embrace it. The Funder Control Critique may not have as many adherents (yet) as the first two waves of critique -- it has emerged only in the past few years, and so it is still too early to say with confidence whether it is durable. I contend however, that the Funder Control Critique poses an unusual challenge to TPLF because it is a classic example of a moral panic in legal analysis.

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[72] *See, e.g.,* Maya Steinitz*, Zombie Litigation: Claim Aggregation, Litigant Autonomy and Funders' Intermeddling,* 110 CORNELL L. REV. __ (forthcoming 2025) (https://ssrn.com/abstract=5054864); Parikh, *The Alchemist's Inversion, supra* note 21; U.S. Chamber of Commerce Institute for Legal Reform, CONTROL LITIGATION, MAXIMIZE PROFITS: THE REAL STORIES OF TPLF (2024) (https://instituteforlegalreform.com/blog/control-litigation-maximize-profits-the-real-stories-of-tplf) ("Courts exist to resolve disputes and provide justice . . . [so a funder cannot] control litigation."); *and Sysco Corp. v. Agri Stats, Inc. (In re Pork Antitrust Litig.),* No. 18-cv-1776 (JRT/JFD), 2024 U.S. Dist. LEXIS 22979, at *35 (D. Minn. Feb. 9, 2024) (relying on "the important public policy granting control of litigation to the parties who claim to have actually suffered injury").

The Funder Control Critique operates at two levels. First it asserts an *a priori* legal principle: No valid TPLF contract may oblige the plaintiff to accept instruction from the funder on any decision affecting the conduct of the litigation. And second, it depicts a state of affairs where funders are constantly threatening to act corruptly or faithlessly in order to secure in secret what the law properly prohibits them from securing by contract. The Funder Control Critique has started to have real world impact. It has appeared in the testimony of expert witnesses to tribunals.[73] Recently Indiana and West Virginia passed legislation that explicitly addressed funder control in terms that mirror and amplify the Funder Control Critique.[74]

1. Funder Control by Zombie Litigation

The Funder Control Critique, as its name suggests, views the loss, or transfer, of control over the conduct of litigation as a per se violation of a fundamental principle of our legal system.[75] So, for example, Steinitz asserts that "the sanctity and centrality of a plaintiff's autonomy over their case" is "*axiomatic*" in law.[76] Elsewhere Steinitz refers to the "*foundational* principle" in law "of sanctity of control" by a plaintiff over the conduct of her litigation.[77] Champerty law, which is the source of limitations on TPLF, according to Steinitz, promotes "plaintiff' autonomy and agency over their cases."[78] Steinitz claims that the expression "officious intermeddler" -- a

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[73] Steinitz has provided expert testimony consistent with her published views. *See, e.g., Expert Report of Professor Maya Steinitz in Support of Sysco Corporation's Petition to Vacate Arbitration Award*, 2023 Misc. Filings Lexis 1425. Parikh provided an expert report in In re *Diocese of Rochester*, No. 19-20905, 2025 LX 230665 (Bankr. W.D.N.Y. July 21, 2025). (The report is under seal.) I also was an expert in that matter.

[74] In Indiana and West Virginia, no TPLF contract may oblige the plaintiff to allow the Funder to issue instructions in connection with the conduct of the funded litigation by the plaintiff . *See* IN Code §§ 24-12-3-1(6) and 24-12-11-4 (2024) *and* W. Va. Code §46A-6N-4(a)(11).

[75] It is not clear whether the Funder Control Critique necessarily extends to any legal system, or it makes claims only about the common law. The examples cited by its proponents are mostly from the United States, although rooted in common law doctrines that originated in the United Kingdom and have spread to other common law jurisdictions where TPLF is thriving, such as Australia.

[76] Steinitz, *Zombie Litigation*, *supra* note 72 *at* 9 (emphasis added).

[77] *Ibid at* 10 (emphasis added).

[78] *Id. at* 12. Steinitz cites to an article written by me on champerty and

term of art used by many courts in the Nineteenth and early Twentieth Centuries to justify champerty laws -- refers not only to efforts by funders to harm either plaintiffs or other third parties, but even "unsolicited advice" even if it was welcome and/or constructive.[79]

While any limitation or diminishment of control may, in principle, be cause for concern, for Steinitz the loss of control becomes the basis for a legal response -- and legal resistance -- when funders can demand by contract material influence over the settlement of a lawsuit.[80] A funder who has the power to control the settlement of a case has turned the plaintiff into a "zombie".[81] Zombie litigation is:

> [L]itigation that a plaintiff no longer wishes to pursue, or, in some cases, does not wish to initiate but that nonetheless proceeds through the court system for the benefit of a funder that has control over the plaintiff's case.

The social harms that accompany the seizure of control over the conduct of litigation are manifold. They include (1) the increased risk of abuse of process and the violation of the "real party in interest" rule;[82] (2) the delay and increased cost of settlement;[83] (3) interference with the plaintiff's attorney-client relationship;[84] and (4) violation of the defendants' "constitutional right to due process."[85] Again, it should be emphasized that for the Funder Control Critique, the causal direction is from the original evil -- loss of

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maintenance to support this proposition. *See* Sebok, *Inauthentic Claim, supra* note 12. The statement she quotes (about the purpose of champerty law promoting "authenticity" in litigation) does not support the view she endorses. *See ibid* at 133.

[79] *Id. at* 17 (*citing Osprey v. Cabana Ltd. P'ship,* 340 S.C. 367, 382 (S.C. 2000)).

[80] *Id. at* 9 (plaintiff autonomy "includes, *in particular*, control over settlement") (emphasis in original).

[81] Hence the title of Steinitz's article, *Zombie Litigation*.

[82] *Id. at* 18 - 21 *and see* Fed. Rule Civ. Proc. 17(a)(1) (each lawsuit "must be prosecuted in the name of the real party in interest").

[83] Steinitz, *Zombie Litigation*, *supra* note *at* 72 ("the strong public policy favoring settlement is widely recognized").

[84] *Ibid at* 24 - 27 ("funders' control of litigation . . . erodes the foundation of the attorney-client relationship").

[85] *Id. at* 28 ("[a] funder controlling a litigation behind the scenes . . . can violate defendants' rights to know who, and what, they are confronted with and mount an effective defense").

control over litigation decisions relating to settlement--to these social harms. The problem with TPLF is that, according to Steinitz, it makes possible, through the mechanism of contract, the "zombification" of even the most sophisticated plaintiffs: "If a powerful corporation could [not] retain its autonomy over its affairs . . .other types of plaintiffs -- individuals in individual cases . . . as well as smaller businesses do not stand a chance."[86]

2. Funder Control by Private Equity

"Control" over the conduct of litigation is also the central problem with TPLF that Parikh identifies in his version of the Funder Control Critique.[87] Parikh divides the history of TPLF into two different periods. On the one hand, he recognizes that conventional TPLF, developed in fits and starts over the past two centuries into various subfields (e.g. consumer and commercial), so in the first period it lacked any coherent theory; the most that one could say is that this diverse universe of transactions shared this common feature: that funders, in exchange for capital, took an "equity-like" stake in a plaintiff's claim.[88] The phrase "equity-like" is crucial here, because, for a variety of reasons funders have been wary of characterizing their contracts as *sales* contracts.[89] Given that, in TPLF, the subject of the transaction is not an assignment of a claim or a judgment, but a contingent interest in property not yet in existence, this wariness is understandable.[90]

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[86] *Id. at* 5.

[87] *See, e.g.*, Samir D. Parikh, *Opaque Capital and Mass-Tort Litigation*, 132 YALE L.J. FORUM 32, 43 (2023).

[88] Parikh, *Alchemist's Inversion, supra* note 21 *at* 133 ("In [conventional] litigation . . . including high-stakes intellectual property and personal-injury disputes—a financier may extend capital and receive the right to an 'equity-like participation' in litigation proceeds upon resolution.").

[89] For example, as Robertson has observed, the case for treating commercial TPLF as secured finance and not the sale of an asset is "easy". *See* Cassandra Burke Robertson*, Optimizing the Litigation Funding Ecosystem,* 67 BOSTON COLLEGE L. REV. __ (forthcoming 2026) (https://ssrn.com/abstract=5029379) at 32. In my experience, commercial TPLF funders file a U.C.C.-1 on the assumption that they have satisfied U.C.C. § 9-109(a)(1) (a security interest), not U.C.C. § 9-109(a)(3) -- that is, a sale.

[90] It is not clear, for example, whether "commercial law permits the present sale of a future asset". *See* Kara Bruce*, The Murky Process of Characterizing Merchant Cash Advance Agreements,* 42 BANKR. L. LTR. 1 (April, 2022). ("To be sure, it is possible to sell an asset that later generates proceeds, and it's likewise possible for a loan to be secured by later-acquired assets or proceeds. But a sale of assets that

It is true that there are some features of TPLF that give it the semblance of an investment.[91] But, in the end, under standard commercial law analysis it would be a mistake to conflate an "equity-like" financial relationship with an assignment of one's lawsuit: In TPLF the plaintiff is not assigning her chose in action in whole or in part; she is taking financing for her lawsuit.[92]

For Parikh, TPLF's blurring of the line between equity and secured finance leads inevitably to the point where the transaction is an asset sale.[93] This is the second period, which is now only beginning to be understood. This process of evolution is not obvious to observers -- in fact, as Parikh concedes, many "attorneys mock this premise"[94] but that is only because they are focused on the past, not the future.[95]

Total control over litigation conduct -- either directly by instructing to plaintiff or indirectly by instructing the plaintiff's lawyers (which is easier in mass torts) -- is the hallmark of ownership when the asset is a lawsuit. Total control means not just the power to affect a claimholder's discretion over the management of litigation but the power to create, destroy, and define the legal claim presented to a tribunal.[96] Parikh argues that, in the second period of TPLF, which is concentrated in the mass torts portion of

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do not yet exist may violate the core commercial law concept *nemo dat quod non habet* (one cannot give what they do not have).")

[91] *See, e.g.,* Shannon, *Harmonizing Third-Party Litigation Funding Regulation, supra* note 1 at 892 ("There are several reasons why litigation funding is an investment. . .).

[92] See Bruce*, The Murky Process of Characterizing Merchant Cash Advance Agreements*, *supra* note 90 at 4 (emphasis added):

> A core distinction between selling a piece of property and lending against it is that, when property is sold, the buyer takes on the upside *and downside risk of that item's future performance*. . . Further, in a typical sale transaction, *the buyer controls the asset* and must take on the obligations associated with ownership.

[93] *See* Parikh, *Alchemist's Inversion, supra* note 21 *at* 124 (funders see "cases as mere asset sales, not litigation disputes").

[94] *Ibid*.

[95] *Id. at* 137 ("I do not argue that these tactics are currently widespread. Instead, I argue [that TPLF's] objectives are clear based on past behavior. Extrapolating from this history offers a clear view of litigation finance's future.")

[96] Influence is not "total control". Insurance companies often demand, as part of the duty of cooperation, the power to select an insured's attorney and even to affect settlement, but that does not mean that insurance contracts are sales contracts, or that insurers own their insured's legal claims.

civil litigation, since the intent of the funders is to own assets, they inevitably must build into their funding contracts mechanisms that give them the option of total control over the funded legal claims, even if they do not always need to exercise that option.[97] His proof for this is a combination of empirical research and deductive reasoning.

The empirical research are anonymous reports by "mass-tort and litigation finance insiders"[98]. The deductive reasoning goes as follows. First, mass tort claims are different than other tort claims in that their value is -- even more than in normal civil litigation -- based on their settlement value.[99] Second, mass tort claims are different than other torts claims in that -- even more than in normal civil litigation -- the merits of the case do not matter.[100] Third, financial advantage can be obtained from defendants

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[97] *See* Parikh, *Opaque Capital, supra* note 87 at 37 ("[C]an a litigation financier offering large pools of capital ostensibly create and control a multibillion-dollar mass-tort case? I argue that the answer is yes and that this possibility has been overlooked.").

[98] *See* Parikh, *Alchemist's Inversion, supra* note 21 *at* 108 n.30: "From March 2023 through May 2024, the author interviewed separately 24 individuals intimately involved in mass torts and litigation finance, including plaintiff's attorneys, defense attorneys, and litigation financiers. See Transcript of Telephone Interviews with Litigation Finance Insiders (on file with author)"). In this article I will not address Parikh's empirical research. It speaks for itself. What must be acknowledged, however, that some of the statements repeated by Parikh reveal, on their, face, that the lawyers with whom he spoke are either confused about the regulation of the legal profession, and/or are violating the law. For example, Parikh repeatedly states that he was informed by his respondents that attorneys "buy" and "sell" claims. *See, e.g., ibid* at 16 ("there is an active secondary market where [attorneys] buy and sell claims"). It is black letter law and legal ethics that a lawyer may not buy or sell a client's chose in action for the purpose of litigating it. *See, e.g.*, N.Y. Jud. L. §488. Nor may a lawyer pay anyone -- including another lawyer -- for a referral. *See* MODEL R. PROF. CONDUCT (hereafter "MRPC") 7.2(b). What a lawyer may do is jointly represent a client and then divide the fee according to an agreement with the other lawyer (which must be approved by the client). See MRPC 1.5(e). So, for example when Parikh reports that "an established firm may secure the right to represent thousands of claimants but then *sell* that representation to other law firms" (emphasis added), he may be conflating joint representation (which is very common in the mass tort space) with payments for referral (which is prohibited).

[99] *See* Parikh, *Alchemist's Inversion, supra* note 21 *at* 128 (In mass torts "courts often view settlement as the only acceptable outcome, irrespective of claim merit, defendant culpability, or settlement integrity."). It is not clear to what "settlement integrity" refers, as opposed to "claim merit" and "defendant culpability".

[100] *See id. at* 146: ("Many claims in a mass-tort dispute are noncompensable and many others are entirely nonmeritorious. If litigated, there is a high probability that causes of actions based on these claims would be rejected by the judicial

through the construction of (non-meritorious) mass torts suits if they litigation is managed by professionals with sufficient capital and technical skills -- that is, funders and the lawyers with whom they partner.[101] Fourth, non-meritorious claim, while numerous in the normal course of events (since clients may, and often are, in error about whether they have legally compensable injuries) can be increased by recruiting persons who never would otherwise have entered the tort system.[102] The fifth, and final step is where the two themes in Parikh's analysis come together to form his version of the Funder Control Critique. Funders, as owners of equity -- the mass tort claims they have constructed -- need to be able to guide the conduct of the mass-tort settlement process and they need to do so efficiently.[103] In other words, they need to exercise (or be able to threaten the exercise of) total control over every phase of the lifecycle of the mass tort.[104]

Parikh concedes that the evolution from financing lawsuits to creating and owning them was not a necessary step for TPLF; it is one funders recently chose.[105] But the choice was preordained -- funding evolved once "private equity firms, multistrategy hedge funds, and institutional asset

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system.").

[101] *See id. at* 143 ("In the mass-tort ecosystem, claim volume itself is the pursuit and a means to ensure success. . . . [A] party with the resources to stay the course knows that the corporate defendant will invariably have to concede.").

[102] Parikh calls this "claim alchemy". *See id. at* 149. According to the theory of claim alchemy, mass tort TPLF depends on claim acquisition specialists recruiting plaintiffs who are unsophisticated (and often financially necessitous), with no reasonable belief that the plaintiffs were injured and/or that the defendant harmed them. He offers a number of examples, including the pelvic mesh litigation, the Camp Lejuene litigation and the Combat Arms MDL. *See, e.g., id. at* 150 *and* 152 (the Combat Arms MDL illustrates how "extent that aggressive marketing outreach can distort resolution by convincing individuals who did not use the product at issue or did not suffer any harm to file a claim based on fear of missing out on a potential lottery distribution").

[103] *See id. at* 102 (TPLF firms "must control when cases settle to maximize the value of the asset it has created") *and see* Parikh, *Opaque Capital, supra* note 87 *at* 43 (mass torts' "true value to an aggressive financier is the potential to clandestinely create and control a case")

[104] *See, e.g,* Parikh, *Alchemist's Inversion, supra* note 21 *at* 161 - 62 (funders "control the formulation of legal strategy, the execution of that strategy, and the recommendations that attorneys make to their clients.").

[105] *See ibid at* 137 (funders "could passively invest in case portfolio . . . but these sophisticated parties understand that their chase for yield *requires* direct engagement in high-stakes disputes") (emphasis added).

managers" saw the opportunity and got involved.[106] Parikh calls these new TPLF providers "opaque capital".[107] According to Parikh, "as witnessed in distressed debt markets, [opaque capital] are adept at exploiting arbitrage opportunities to secure premium recoveries."[108] Parikh's assertion that funders in mass torts view lawsuits as assets that can be bought and sold is based on a model drawn from the field of leveraged buyouts of corporations by private equity.[109] How does Parikh know that these funders have done steps (3) - (5) in the previous paragraph? Because private equity has done this before, and so it will inevitably do it again:

> [W]e know these actors from their long history in distressed debt markets and their preternatural ability to shift fundamental tenets wherever they go, ignoring market norms and contractual restrictions in their quest for premium. . . .
> . . .
> Private equity firms and multi-strategy hedge funds have a history of aggressive intervention to control liquidity events. Opaque capital is running the same playbook in mass torts.[110]

How does Parikh know that these funders will "intervene frequently and aggressively" in the conduct of mass torts? Because that's what private equity did when it invested in LBOs.[111] How does Parikh know that these funders will dictate when mass tort lawsuits are settled? Because that's what private equity did when it invested in LBOs.[112] How does Parikh know

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[106] *Id.* at 106.

[107] Hence the title of one of his articles, *Opaque Capital*.

[108] *See* Parikh, *Opaque Capital, supra* note 87 *at* 44 (*citing* Samir D. Parikh, *Financial Disequilibrium*, 171 U. PA. L. REV. 1925 (2023)).

[109] *Ibid* (the new type of funding is being done by a "new breed of financier: aggressive hedge funds and private-equity firms that have established a litigation-finance group or have a group that acts as the functional equivalent").

[110] *See* Parikh, *Alchemist's Inversion, supra* note 21 *at* 107 & 109 (*citing* Parikh, *Financial Disequilibrium, supra* note 108).

[111] *Ibid at* 135 ("Consequently, as witnessed in other markets, these firms intervene frequently and aggressively in managing their investments.") (*citing* Parikh, *Financial Disequilibrium, supra* note 108).

[112] *Id. at* 155 n.243 ("This . . . aligns with our understanding of how private equity firms and multi-strategy hedge funds behave in other markets.") (*citing* Parikh, *Financial Disequilibrium, supra* note 108).

that these funders will use their "ability to threaten material harm in future business transactions" with plaintiffs and lawyers to determine the conduct of their litigation? Because that's what private equity did when it invested in LBOs.[113]

Parikh's version of the Funder Control Critique, therefore, depends critically on two related claims. First, that despite what may have been true in the past, and even what funders and lawyers claim, the future of TPLF -- at least in the new and growing market in mass torts -- will be characterized by funding contracts in which funders are owners of lawsuits and have equity in the legal claims of others. Second, mass tort TPLF contracts seek control because, as seen by the past behavior of private equity in other markets (such as LBOs), the funder will seek maximal control over the entire life cycle of the litigation claim (including its creation) and especially at its point of "sale" -- namely, settlement.

III. Causal Misattribution in the Funder Control Critique

Recall that moral panic theory relies on two steps in the construction of a social problem. The first step is the *construction* of a threat: attributing saliency to a bundle of risks which are not, in fact, salient.[114] The second step is to attribute an abnormal or immoral motivation to the actor or actors who purportedly generated the threat.[115] The Funder Control Critique fits into the template of a legal moral panic, especially in connection with the first step. The causal saliency it attributes to certain aspects of TPLF collapse under examination, with the result that it is not clear why we are being asked to focus on the control of litigation by funders in order to address the practical question of how to reduce any genuine and non-trivial social harms the critique has identified.

A. The *Sysco* Example

One example at the center of the Funder Control Critique is the disagreement between Sysco Corporation, a plaintiff in a number of antitrust

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[113] *Id. at* 161 ("I recently explored this idea in distressed debt markets, but opaque capital's tactics are portable.") (*citing* Parikh, *Financial Disequilibrium, supra* note 108).

[114] *See supra at* Section I.

[115] *See ibid.*

cases, and Burford Capital, a commercial funder.[116] Given the unusual facts about the case -- the amount at stake, and the important issues it raised -- it is no surprise that the case would catch the attention of academics and others seeking to raise concerns about TPLF.[117] Steinitz and Parikh claim that the dispute over the contract laid bare a flaw with TPLF -- that it is vulnerable to efforts by funders to exercise so much control over the conduct of the plaintiffs' litigation so as to undermine core values of the legal system.[118]

The undisputed facts of the case, as set out in the arbitrators' order and other court documents, are as follows. In 2018, Sysco, a very large American food distribution corporation ($78 billion in sales in 2024) opted out of class actions filed by various purchasers of meat / protein products in order to pursue the price-fixing claims individually. Burford Capital and Sysco agreed in 2019 that the former would give the latter $140 million in exchange for a share of the proceeds from the litigation, if there were any. In 2022 the contract was amended.[119] The amendment stated:

> Section 5.3(b)(v): [Sysco] shall provide immediate notice by email to [Burford] of any settlement offer made by the Adverse Party and

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[116] *See* Steinitz, *Zombie Litigation, supra* note 72 *at* 1 ("To understand zombie litigation," Steinitz "offers a hypothetical" based on the *Sysco* case, and Parikh, *Opaque Capital, supra* note 87 *at* 61 ("*Sysco v. Burford Capital* reveals the full picture" of TPLF's Alchemist's Inversion).

[117] In re *Pork Antitrust Litig.*, No. 18-CV-1776 (JRT/JFD), 2024 WL 511890 (D. Minn. 2024), aff'd, No. CV 18-1776 (JRT/JFD), 2024 WL 2819438 (D. Minn. 2024); *Sysco Corp. v. Glaz LLC,* No. 1:23-cv-01451 (N.D. Ill. 2023) *and Glaz LLC v. Sysco Corp.*, No. 1:23-cv-02489 (S.D.N.Y. 2023). For media coverage, see, e.g., *Editorial*, *The Litigation Finance Snare: The Case of Burford Capital vs. Its Corporate Client*, THE WALL STREET JOURNAL (March 21, 2023), *and* Andrew Strickler*, Burford Has 'Initial Control' In Sysco Settlements, Panel Says,* LAW360 (March 13, 2023) (https://www.law360.com/articles/1584981/burford-has-initial-control-in-sysco-settlements-panel-says).

[118] Both Steinitz and Parikh focus the claims made by Burford and Sysco in a commercial arbitration, *Glaz LLC, Posen Investments LP, Kenosha Investment LP vs. Sysco Corporation,* London Court of International Arbitration Case No. 225609 (10 March 2023) (hereafter "*Sysco*"). Steinitz served as an expert witness on behalf of Sysco in this matter (as well as other related disputes). As noted, I serve as a consultant to Burford, a party adverse to Sysco in this case.

[119] The 2022 amendment was precipitated by certain conduct by Sysco. *See Sysco at* ¶222. ("[In March 2022] Sysco accepted a consent provision and relinquished proceeds to Burford because of Sysco's disregard– which Sysco has not denied – of the assignment provision in the original CPA.")

> shall not accept a settlement offer without the [Burford's] prior written consent, which shall not be unreasonably withheld, provided, however, that [Burford] (and their respective Affiliates) shall have no right to exercise control over the independent professional judgment of its Nominated Lawyers and shall not seek to impose a commercially unreasonable result with respect to settlement . . . .[120]

Later in 2022 Sysco sought to accept settlements with some of the parties it sued, which Burford deemed to be commercially unreasonable, and instructed Sysco to refuse those settlements. When Sysco insisted that the settlements were commercially reasonable, Burford sought to have that fact arbitrated (as called for in the contract). When Sysco refused to go to arbitration over whether the settlements it sought to secure were commercially reasonable, Burford asked the arbitral body to issue a preliminary injunction, freezing in place the status quo, and order Sysco to submit to arbitration whether the settlements were commercially reasonable. Sysco objected, saying that under New York law, Section 5.3(b)(v) of the amended contract was unenforceable, and it could settle the cases even if the settlements were not commercially reasonable (or that its unilateral judgement that the settlements were commercially reasonable was not reviewable). The arbitral court disagreed with Sysco; found for Burford; and issued the preliminary injunction.[121]

This summary leaves many details unspecified. This summary provides no reason to adopt either Sysco or Burford's view that the settlements at issue were commercially unreasonable, although it assumes that there is an answer to that question.[122] The answer would depend on many facts, including the amount of the settlement, the likelihood of securing a higher settlement, and the cost to Sysco of rejecting the settlement. None of these facts are publicly available, so in this Article, any assertion about the settlement's putative commercial reasonableness must be based on general commercial practice and experience. But whether the settlement sought by Sysco was commercially unreasonable is irrelevant to the proponents of the

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[120] *Ibid at* ¶196.

[121] *Id. at* ¶221.

[122] The phrase "commercially reasonable" is a term of art in commercial law. *See, e.g. Eastwood Ins. Servs. v. Titan Auto Ins. of N.M.*, Inc., 469 F. App'x 596, 598-99 (9th Cir. 2012) ("Whether . . . efforts were commercially reasonable under the circumstances is a factual determination requiring consideration . . . of the standards and customs of the industry, context, and intent . . .").

Funder Control Critique. The case that made its way to the London Court of Arbitration was about whether, as a matter of law, Burford could contract *ex ante* for a "limited" veto over Sysco's conduct of its litigation (specifically, whether Sysco could choose to accept a commercially *unreasonable* settlement). As the tribunal observed, what Burford claimed was not an unconditional right to veto, but the power to compel Sysco to demonstrate that the settlements it wanted were commercially reasonable.[123]

For Steinitz, *Sysco* illustrates the danger of "zombie litigation".[124] At risk, if the contract were enforced, is the legal principal that "funders controlling litigation is alien to our legal system."[125] In other words, Burford's financing of Sysco's antitrust litigation would have been permissible only if the funder had no control over the litigation.[126] For Parikh, *Sysco* illustrates "how a financier can seize veto power."[127] Recall, that for Parikh, the TPLF has evolved from financing litigation to owning cases and treating them as equity, where the asset value is maximized by actions taken by the funder until they are sold.[128] The crucial linkage between the funder's capital expenditure and its "cashing out" at settlement is control over the asset (the lawsuit). *Sysco* is (for Parikh) a rare opportunity to prove that the process he hypothesized -- based on his observations of how private equity acted when investing in LBOs -- exists in the TPLF ecosystem. The *Sysco* arbitration proves that, as he predicted, private equity will seek to control litigation whenever possible:

> Sysco—a Fortune 100 behemoth—was rendered helpless by a litigation-finance company that bludgeoned it with the provisions of a carefully drafted [funding agreement]. . . . Burford['s] . . . dispute with Sysco crystalizes the power inherent . . . for those seeking

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[123] "[I]f Burford does not prevail at the merits hearing . . . Burford's consent right will not equate to limited veto right, and Sysco's ability to enter into a settlement will be unconstrained." *See Sysco at* ¶ 171.

[124] *Ibid at* 4.

[125] *Id. at* 28.

[126] *See* Steinitz, *Zombie Litigation, supra* note 72 *at* 1 (the London Court of Arbitration's decision conflicted with "numerous doctrines . . . that recognize and at times presuppose as axiomatic *the sanctity and centrality* of a plaintiff's autonomy over their cases").

[127] *See* Parikh, *Alchemist's Inversion, supra* note 21 *at* 158.

[128] *Supra at* Section II.D.2.

> control. Burford demonstrated that it could seize decision-making power in exceptional cases to protect its investment. *Why not seize that power in all cases?*[129]

Steinitz and Parikh conclude that, because Burford caused the tribunal to order Sysco to hold off from settling its antitrust cases until a neutral third party could evaluate the settlements, Burford had taken control over the antitrust cases *from* Sysco. That is not correct. That Sysco was unable to take a certain step (hypothetically speaking: *'S'*) while conducting the litigation did not mean that it was not still in control over its cases. This is for two reasons. First, *S* was a step that no commercially reasonable party in Sysco's position would choose to take.[130] And, further, when Sysco contracted with Burford, it represented that it would not take *S*.[131] That is, when the funding agreement was renegotiated in 2022, Sysco and Burford agreed that Sysco would seek *only* commercially reasonable settlements. One can restate the 2022 contract this way: Sysco promised Burford that Sysco's future conduct may include (hypothetically speaking) steps *Q, R, T, etc.,* but not *S*.[132] Burford was not asking the arbitrator to give Burford the power to impose on Sysco *Q* or *R or T* (or some other action); it was asking the arbitrator to recognize that Sysco had *represented earlier that it could conceive of wanting to take Q, R, T, etc.,* but not *S* .

When an actor is not free to take an action that no reasonable actor would take, or that they have stated in the past they would not want to take, we do not typically say that the actor is unfree, even if the actor complains about the limits later placed on his or her action. That is not to say that Sysco was not frustrated by Burford's actions. It certainly must have felt to it that its control over the litigation circumscribed. Its control, compared to what would have been the case but for the funding contract, was circumscribed.

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[129] *See* Parikh, *Opaque Capital, supra* note 87 *at* 673 (emphasis added).

[130] To be precise, the injunction obtained by Burford was based on the reasonable possibility that the settlement sought was not commercially reasonable. Burford was asserting only the power to prevent commercially unreasonable litigation conduct by Sysco.

[131] In other words, the 2022 contract language only would have been necessary on the assumption that *S*, were it to be sought, was commercially unreasonable.

[132] That is, it was agreed by all parties, at that time, that Q, R, and T were commercially reasonable.

A plaintiff who has not contracted with a funder can conduct his or her litigation in any way as long as it does not violate some public law obligation. So, for example, a plaintiff can abandon her lawsuit for any reason-- or no reason at all. Short of making a material misrepresentation to the court or filing frivolous motions, a plaintiff resolve the matter in any way agreeable to the defendant; refuse to raise any argument (no matter how strong); and ignore deadlines and even the statute of limitations for the claim. In that sense Sysco did not have absolute freedom in connection with its litigation conduct -- its conduct was circumscribed.[133] But Sysco's lack of absolute freedom to conduct its litigation as it may have seen fit at any given moment does not mean that it gave up control over the litigation to Burford.

The foregoing point seems to have been completely ignored by Steinitz and Parikh. The only conduct the contract removed from Sysco's reach was conduct it earlier had claimed it did not want to do. It is not obvious, in fact, that Burford took anything away from Sysco, at the time the contract was struck, that Sysco valued. It is more likely that, by making Sysco explicitly covenant in the contract to do what it claimed it wanted to do, Burford was building into its relationship with Sysco a safety net in case Sysco's underlying interests in connection to the antitrust claims changed in ways that Burford could not reasonably anticipate.

The problem with using *Sysco* to support the Funder Control Critique is that the underlying threat that it identifies -- the purported transfer of control over the conduct of litigation by the plaintiff to the funder -- requires a conception of "litigant control" that is not normatively attractive. The power to engage in commercially unreasonable litigation conduct, including commercially unreasonable settlements, is not something a rational actor would pay to preserve, given that it is not something that a rational plaintiff would imagine ever deliberately pursuing (as opposed to pursuing because of mistakes of fact or mistakes in judgement over how much they value certain ends). It is possible that, as an instrumental matter, there are some circumstances where voluntary transfer of control over the conduct of litigation by a plaintiff to a funder might produce so many large and predictable negative consequences for the plaintiff or for third parties, that limitations on contracts that provide for the transfer of that control might be

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[133] This is not unique to plaintiffs in TPLF. Defendants who contract with liability insurers are also circumscribed in their conduct of their litigation. See Tom Baker, *What Litigation Funders Can Learn About Settlement Rights From the Law of Liability Insurance*, 25 THEORETICAL INQ. L. 17, 24 (2024).

advisable -- but the *Sysco* case does not provide any concrete reason to believe that, in the facts of that particular case, the parties were operating under those circumstances. Instead, the *Sysco* case is an illustration of a spurious attribution of causation to a contract term in order to link that contract term to a concrete social harm. In terms of providing a causal analysis it is an abject failure. It is a classic example of moral panic in law in action.

B. The Mass Torts Examples

Another example of spurious causal attribution that plays a significant role in the Funder Control Critique is the connection it asserts between the control purportedly exercised by funders in low-value cases and systematic abuses of the legal system. Parikh and Steinitz cite examples from "patent troll" and mass tort cases as evidence that TPLF's appetite for control will degrade the legal system.[134] While it is true that American civil litigation is vulnerable to abuse (and that abuses occur), the Funder Control Critique errs by attributing the causation of genuine abuses to the fact that funders have sought to limit, by contract, how their counterparties conduct the funded litigation. This exactly the kind of error that moral panic theory warns about.[135] In this specific instance, regulation of TPLF contract terms regarding the conduct of litigation by plaintiffs will not reduce the social harms connected with abusive and frivolous litigation.

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[134] Steinitz states that, "zombie litigation [would] unleash . . . unfairness at the level of individual cases . . . damage to the civil justice system as a public institution serving the public good . . . the affected constituencies are plaintiffs, defendants, courts and the public -- in short, all of us." Steinitz, *Zombie Litigation, supra* note 72 *at* 9. Parikh states that TPLF "is a new apex predator in the mass-torts ecosystem, gradually deploying a unique arsenal to secure premium. Its impact is spreading rapidly through multi-billion dollar disputes. Without intervention, the ultimate effect on claimants and the judiciary could be decidedly negative." Parikh, *Alchemist's Inversion, supra* note 21 *at* 177.

[135] *See* Gabilondo, *Financial Moral Panic!, supra* note 43 *at* 792 ("Usually, a hasty legal reform results from the panic. Driven as it is by irrationality, the reforms usually miss the point of the original problem . . . .")

1. Patent Trolls

The example of Nimitz Technologies LLC ("Nimitz") is introduced to illustrate what happens when a funders takes control over litigation.[136] Nimitz sued four defendants, including Bloomberg LLC, in the U.S. District of Delaware, for the infringement of patents that had been purchased from a French sovereign-owned tech fund by a company called IP Edge, and then had been assigned by IP Edge to Nimitz for virtually no consideration.[137] Nimitz had a sole owner, Mark Hall, and was represented by a lawyer named George Pazuniak.[138] All this was uncovered when the court grew suspicious of this and other copycat patent infringement cases that had been filed.[139] The court discovered that Hall had been recruited by the owners of IP Edge to become the owner of Nimitz, which was created after the patents were acquired by IP Edge for the sole purpose of litigating the patent infringement issue. Hall had no understanding of the legal issues against Bloomberg, no financial interest, and was promised ten percent of the recovery in exchange for his cooperation.[140] The court concluded, among other things, that Pazuniak did not communicate with Hall after becoming his attorney for over a year -- during which time, Pazuniak filed 11 lawsuits and entered dismissals of those lawsuits.[141] The court found that IP Edge (and another similar firm, Mavexar) recruited a small group of people to assume the role of "sock puppet" on their behalf, and that a number of lawyers -- whose fees were paid by the patent monetization firms -- took

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[136] *See, e.g.,* Steinitz, *Zombie Litigation, supra* note 72 *at* 18 - 20.

[137] *See, e.g.,* Steve Brachmann, *In Wild Opinion, Chief Judge Connolly Refers IP-Edge Affiliated Attorneys for Disciplinary Action,* IPWATCHDOG, November 29, 2023 (https://ipwatchdog.com/2023/11/29/wild-opinion-judge-connolly-refers-ip-edge-affiliated-attorneys-disciplinary-action/id=170079/).

[138] *See* In re *Nimitz Techs. LLC*, No. 2023-103 (Fed. Cir. Dec. 8, 2022).

[139] *See, e.g.,* RPX Empower*, Judge Connolly Questions Counsel's Grasp of Informed Consent, Agency Law, and Even Basic English,* January 21, 2024 (https://insight.rpxcorp.com/news/78867-judge-connolly-questions-counsel-s-grasp-of-informed-consent-agency-law-and-even-basic-english) ("Judge Connolly became aware of this strategy as a result of the failure of several IP Edge plaintiffs . . . to comply with a pair of April 2022 standing orders requiring certain litigants to make certain detailed corporate and third-party litigation funding disclosures.").

[140] *See Nimitz Technologies LLC v. Bloomberg LP,* No. 1:22-cv-00413 (Nov. 27, 2023) *at* 23.

[141] *Ibid at* 86.

instruction from those firms, despite having no lawyer-client relationship with IP Edge and Mavexar.[142]

To be clear, the concerns that led to the disclosures in *Nimitz* -- that "patent trolls" like IP Edge and Mavexar are "secretly pulling the strings in patent cases are fraudulently abusing the judicial system" -- are serious.[143] Any abuse of civil litigation that extracts settlement dollars from patent holders without legal justification should be reduced by targeted legal reforms.[144] But the plaintiffs in these cases were not contracting for financing for litigation that they would conduct, and the reason why these cases are so concerning is that they involve multiple violations of both the law and the rules of professional responsibility. None of what is wrong with these cases has to do with what is the threat named by the Funder Control Critique -- the *transfer* of control from the plaintiff to the funder. For Steinitz to claim that Hall "lost control over [his] case" is to miss the point in a way that is quite significant.[145] Hall never had control over his case -- so its loss could never be the issue.

As the court pointedly established, Hall had no connection with the lawsuit at all.[146] Hall never had any agency in connection with the lawsuit; at no time did he assert a legal claim, given that the evidence clearly showed that Hall at no time held the belief (reasonable or otherwise) that Bloomberg, etc., had wronged him.[147]

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[142] *Id. at* 92 - 93.

[143] *See, e.g.,* Allison Frankel, *Delaware Judge Justifies Litigation Funding 'Inquisition' In Thriller Order*, REUTERS, December 2, 2022 (https://www.reuters.com/legal/government/delaware-judge-justifies-litigation-funding-inquisition-thriller-order-2022-12-02/).

[144] *See, e.g.*, Richard Gruner, *Strategy and Abuse in Massive Patent Assertions at the Extremes of Patent Litigation*, 29 TEX. INTELL. PROP. L.J. 363 (2021).

[145] *See, e.g.,* Steinitz, *Zombie Litigation, supra* note 72 *at* 18.

[146] *See, e.g.*, Joe Mullin, *Judge's Investigation Into Patent Troll Results In Criminal Referrals*, ELECTRONIC FRONTIER FOUNDATION, November 4, 2024 (https://www.eff.org/deeplinks/2024/11/judges-investigation-patent-troll-ip-edge-results-criminal-referrals):

> Hall could not describe anything about the patent or explain how Nimitz acquired it. He didn't even know the name of the patent ("Broadcast Content Encapsulation"). When asked what technology was covered by the patent, he said, "I haven't reviewed it enough to know."

[147] If one were to take Steinitz's central metaphor seriously, Hall, as litigant, could not have been turned into a "zombie", since Hall had never even been "alive". Hall, from the very start, had suffered no legal injury and was never the party in interest.

As used in TPLF, "finance" is a transitive verb. One can finance one's own lawsuit, or one can finance another's lawsuit. TPLF is the latter. Third-party finance necessarily implies not only that there is another name on the caption of the lawsuit that is being financed, but that recipient of the financing was actively seeking to secure her legal rights before she took the financing -- in other words, that the plaintiff is an agent; not an invention of the funder. What is stunning about Steinitz's choice of *Nimitz* as a central example is that it obviously was *not* TPLF. Clearly, something was going on which was properly criticized by the court. In addition to the alleged violations of the Texas Disciplinary Rules of Professional Conduct by Pazuniak, the facts suggest that IP Edge engaged in barratry.[148] It is a question for another time -- and one irrelevant to the Funder Control Critique -- whether barratry is TPLF. On the other hand, it is very clear that what makes the IP Edge's funding of the suits in *Nimitz* wrongful is not how they were drafted; it is not, as the Funder Control Critique claims, the court was seriously worried that IP Edge took "control" *away from* Hall. The idea that protecting Hall's so-called control over "his" cases was why Judge Connolly got involved misses the point of why IP Edge's conduct was a corruption of the civil litigation system.

2. Damages Enhancement

Another example, introduced by Parikh, illustrates the same confusion over the relationship between observed abuses of the legal system and the purported threat posed by seizure of control by funders. Parikh's specific version of the Funder Control Critique describes the "trajectory" of the mass torts in which TPLF ("opaque capital") invests.[149] At the end of the trajectory is the "sale" of the assets acquired by the funders, through

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[148] *See, e.g.,* Cal. Penal Code § 158 ("Common barratry is the practice of exciting groundless judicial proceedings"; *Commonwealth v. Lewis,* 307 Pa. Super. 468, 475, 453 A.2d 982, 985 (1982) ("Barratry was an indictable offense at common law. It was defined as 'the crime or offense of frequently stirring up suits and quarrels between individuals, either at law or otherwise.'") (citations omitted); *and see Gov't Emps. Ins. Co. v. MAO-MSO Recovery II, LLC*, 491 Md. 221 (2025) *at* 241 ("Maryland retains a policy under common law that prohibits a scheme 'to stir up and promote litigation for the benefit of the promoter rather than for the benefit of the real party in interest[,]'") (citations omitted).

[149] *See* Parikh, *Alchemist's Inversion, supra* note 21 *at* 145 ("opaque capital's unique brand of chaos is manifested most clearly at two distinct points in a dispute's trajectory").

settlements with overwhelmed defendants.[150] At the beginning of the trajectory is the creation and "enhancement" of claims.[151] As proof of this, for example, Parikh offers the tragic story of certain women plaintiffs in the pelvic mesh (TVM) mass tort.[152] The device, which was defective, posed a risk in some women that required its removal, often during the pendency of litigation. Some women were contacted by third parties who were not agents of their lawyers and advised to consult with surgeons who would remove the TVM devices. The third parties would advance the cost of the surgeries to the surgeons (with whom they had a financial partnership) and then profit in various ways, including inflating the cost of the surgeries when establishing the cost of the procedures and charging high interest on the advances themselves.[153] Coverage of these practices suggest that, as a result of fraudulent and/or negligent advice, many women plaintiffs underwent unnecessary surgeries, and some suffered new injuries in addition to those caused by the original defective device.[154]

Unlike Mark Hall, the plaintiffs in the TVM litigation had agency: Their underlying legal claims were not constructed for them; the devices were defective and many, if not all of the plaintiffs had chosen to sue the device manufacturers before they were contacted by the dishonest medical funders and surgeons.[155] And the plaintiffs -- who were injured by (allegedly) unethical doctors and financiers who sought to profit from investing

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[150] *See ibid at* 109 (TPLF "understands that if [weak] claims are bundled with meritorious claims, the resulting critical mass could force a defendant to pay a premium to settle all claims").

[151] *See* Parikh, *Opaque Capital, supra* note 87 *at* 51 ("at the outset of a [mass tort], the probability of financial success is premised entirely on marshaling as many claims as possible—even if the vast majority of those claims prove to be baseless").

[152] For a general background of the underlying products claim, *see* C. Gavin Shepherd, *Transvaginal Mesh Litigation: A New Opportunity to Resolve Mass Medical Device Failure Claims*, 80 TENN. L. REV. 477, 485-86 (2013).

[153] *See, e.g.,* Alison Frankel & Jessica Dye*, Investors Profit by Funding Surgery for Desperate Women Patients,* REUTERS (Aug. 18, 2015) (https://www.reuters.com/article/world/special-report-investors-profit-by-funding-surgery-for-desperate-women-patients-idUSKCN0QN1QU/).

[154] *See, e.g.* Matthew Goldstein & Jessica Silver-Greenberg*, How Profiteers Lure Women into Often-Unneeded Surgery*, NEW YORK TIMES (Apr. 14, 2018).

[155] Parikh asserts that the surgical funders offered to introduce the plaintiffs to a lawyer. This is an odd claim, since it would very unlikely that damages would be enhanced before a lawyer agreed to take the case. In fact, Parikh's source for this claim (a *New York Times* article) does not state that the surgical funders offered to introduce the plaintiffs to a lawyer. *See ibid.*

in unnecessary medical procedures -- would probably have avoided these additional injuries had they been in full control of their lawsuits. But -- and this is quite astounding -- nowhere does Parikh report (or even assert) that the plaintiffs had freely and knowingly transferred control over the conduct of their litigation to *anyone*. The tragic fraudulent medical scheme was a result of control through subterfuge, not the enforcement of a contract term over the protests of a plaintiff (like in *Sysco*) or the purchase of compliance from an indifferent plaintiff (like in *Nimitz*).

Parikh offers the TVM example as support for his conclusion that, "in the mass-torts sphere, financiers enter into capital provision agreements with law firms and claimants – who often lack the leverage necessary to demand contractual provisions that preclude financier attempts *to influence* outcomes."[156] The assertion that TPLF leads to a dangerous assertion of control over the conduct of litigation is not supported by the TVM cases. The terrible things that happened in those cases were a result of funders working with corrupt physicians to induce plaintiffs to undergo surgeries in order to fraudulently increase the damages that could be claimed against certain defendants. Like in the *Nimitz* example, there are serious policy issues raised by the TVM example, including the rules under which the purchase of medical liens should be regulated.[157] But what makes the funding of the surgeries in these cases wrongful is not, as the Funder Control Critique claims, that the funders by contract, took "control" away from plaintiffs. In the TVM cases, the plaintiffs were tricked by funders and their agents; they did not negotiate the transfer of control to these bad actors. These cases, while awful, demonstrate that, for the same reason a plaintiff may be tempted to dishonestly inflate the cost of an injury for which she is seeking redress, a third party -- such as her doctor, lawyer, or even a funder -- may be tempted to trick the plaintiff into dishonestly inflating the cost of her injury. But that has nothing to do with the Funder Control Critique, which criticizes contract terms freely and knowingly granted by the plaintiff to the funder that transfer control of the litigation.

IV. Attribution of Abnormal Motive in the Funder Control Critique

The second step in moral panic theory is to attribute an abnormal or aberrant motivation to the actor or actors who purportedly generated the

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[156] *See* Parikh, *Alchemist's Inversion, supra* note 21 *at* 176.

[157] *See, e.g., Labriola v. Southwest Plaza L.L.C.*, 2017 Colo. Dist. LEXIS 2123.

threat.[158] The Funder Control Critique's frequent use of colorful language ("zombie litigation"; "apex predator")[159] could be viewed as mere rhetorical license were it not for the fact that, left unsaid is that the behavior targeted for critique is in fact utterly unexceptional and, in other contexts, quite normal. When conditions that are in other contexts seen as normal or typical are identified as abnormal or aberrant, moral panic theory tells us that the likely explanation is not a change in what is happening in the world, but rather a change in the social construction of what is happening in the world:

> Why is a social problem "discovered" in one period rather than another? . . . Why do segments of the society take steps to remedy this condition but not that, even more harmful, one? . . . How is problemhood established? . . . Constructionism forces us to see the social dynamics behind the creation of conditions as problems. And the moral [panic] is one crucial avenue through which certain conditions are constructed and validated as social problems. [160]

And in law, the functional equivalent of "social construction" of a problem is the spurious attribution of an abnormal or an aberrant purpose behind the employment of an otherwise banal or conventional legal device or instrument.

A. Commercial TPLF and the U.C.C.

As observed above, the standard commercial TPLF transaction -- like *Sysco* -- is governed by Article 9 of the U.C.C. Assuming that the transaction does not result in the assignment of the counterparty/plaintiff's lawsuit, either (1) the funding is a form of financing and the lawsuit is a security interest, or (2) the counterparty/plaintiff has sold the proceeds of the lawsuit to the funder.[161] That is, the transaction falls under U.C.C. § 9-109(a)(1) ("a transaction, regardless of its form, *that creates a security interest* in personal

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[158] *See supra at* Section I.

[159] See *supra* n.134 (noting use of terms "zombie litigation" and "apex predator").

[160] Goode & Ben-Yehuda, *Moral Panics*, *supra* note 45 *at* 152

[161] This assumption is entailed by the fact that TPLF is not claims purchasing. Most plaintiffs who seek funding do not want to assign their claims; most funders do not want step into the shoes of the plaintiffs; and the law is quite clear that in some circumstances (in personal injury, for example), assignment is prohibited by law.

property or fixtures by contract") or U.C.C. § 9-109(a)(3) ("*a sale* of accounts, chattel paper, payment intangibles, or promissory notes").

Option 2 -- the sale of a "payment intangible" -- has superficial appeal, but it is not as attractive as the first option (treating the lawsuit as a security interest). Proceeds from a lawsuit (not just a commercial tort) are payment intangibles under the U.C.C. if they are not contingent -- that is, post-settlement or post-judgment.[162] A contract to assign the proceeds of a legal claim, or a lawsuit not yet resolved, are not governed by U.C.C. § 9-109(a)(3). That does not mean that such contracts are unenforceable.[163] But since the sale is not for a payment intangible, the buyer of the right to the proceeds will not have priority in the lawsuit proceeds.[164] This leaves the buyer vulnerable to any other claim with priority over the counterparty/plaintiff's proceeds.[165] This is a very real concern in the counterparty/plaintiff enters bankruptcy before the lawsuit is resolved and produces proceeds.[166] In the case of a "'future lien which only comes into existence when a judgment is entered,' . . . if the [counterparty/plaintiff] files for bankruptcy before the lawsuit is settled, [the] lawsuit proceeds become the

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[162] *See* U.C.C. § 9-109, cmt. 15 (2024) ("Note that once a claim arising in tort has been settled and reduced to a contractual obligation to pay, the right to payment becomes a payment intangible and ceases to be a claim arising in tort.") *and see WFIC, LLC v. Labarre,* 2013 Phila. Ct. Com. Pl. LEXIS 477; 34 Pa. D. & C.5th 119 ("Payment intangibles require an obligation, and the mere hope of receiving a favorable judgment does not create one on its own.").

[163] *See, e.g., Pony v. Cnty. of L.A.*, 433 F.3d 1138, 1144 (9th Cir. 2006) ("a party may freely assign the proceeds of his judgment or the value of his recovery"). The enforceability of a contract to assign the rights to proceeds may vary according to jurisdiction, but most will allow the assignment of any proceeds of litigation, even those of personal injury litigation, even if they prohibit the assignment of the underlying personal injury claim. *See, e.g., Sessions v. Prospect Funding Holdings LLC,* No. CV 16-02620 SJO (DTBx), 2017 LX 86774 at *13 (C.D. Cal. July 13, 2017) ("Plaintiff assigned her right, title, and interest in the Lawsuit proceeds, not to the legal claims themselves.").

[164] *See, e.g.,* Robertson, *Optimizing the Litigation Funding Ecosystem*, *supra* note 89 *at* 40.

[165] For example, since "breach-of-contract claims are considered 'general intangibles' . . . and such claims need not have matured prior to the execution of a valid security agreement" the buyer of a right to contingent proceeds in a lawsuit will always be at risk that a third party with whom the plaintiff had contracted will have priority over the proceeds once the lawsuit is resolved." Robertson, *ibid at* 40.

[166] *See id. at* 41.

property of the bankruptcy estate and the funder's claim on those proceeds is extinguished."[167]

This leaves Option 1: The funding is a form of financing and the lawsuit is a security interest. Commercial TPLF falls under U.C.C. § 9-109(a)(1), usually by default, since Option 2 is basically unavailable under the U.C.C. This is the import of Robertson's analysis, which concludes that the U.C.C.'s rules governing secured financing align with commercial TPLF.[168] To be sure, classifying TPLF as a form of secured financing is not a panacea. There will remain some subsidiary issues that to be resolved. For example, given that U.C.C. § 9-109(a)(1) only governs security interests in commercial torts, what is the status of consumer TPLF, which involves non-commercial torts, such as personal injury?[169]

Another subsidiary issue is the consequence of placing commercial TPLF contract within a legal framework associated with lending.[170] On this latter point, it should be noted the U.C.C.'s terminology does not reflect how laypersons and even many lawyers use terms like "debt" and "collateral".[171]

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[167] *Id. at* 36 (quoting In re *Andrade*, 2010 WL 5347535 *2 (Bankr. E.D.N.Y. 2010)).

[168] *See id at* 30:

> Article 9 of the Uniform Commercial Code (U.C.C.) . . . provides a comprehensive framework for the creation, perfection, and priority of security interests in a wide range of assets, from tangible goods to intangible rights (such as, for example, the right to sue or the right to be paid from a settlement or monetary judgment). Likewise, Article 9 applies to the sale of certain payment rights, recognizing that the sale of a payment right looks very similar in essence to the use of such payment rights as collateral.

[169] As noted above, U.C.C. § 9-109(a)(3) covers proceeds from any lawsuit that are no longer contingent (that is, settled or reduced to judgment). But that is of little use to most consumer TPLF funders, who are interested in personal injury lawsuits before settlement.

[170] *See, e.g.,* Robertson, *Optimizing the Litigation Funding Ecosystem*, *supra* note 89 *at* 31 (some might "raise concerns about whether applying Article 9 necessarily means treating litigation funding as a loan, rather than an asset purchase").

[171] *See, e.g.,* Kenneth Kettering, *True Sale Of Receivables: A Purposive Analysis,* 16 AM. BANKR. INST. L. REV. 511, 515 (2008):

> [T]he definition of fundamental terms of Article 9 do double duty, for reasons of drafting efficiency. Thus, "debtor" means, as the occasion may require, either a seller of receivables or the grantor of an interest in personal property that secures an obligation; "secured party" means either a buyer of receivables or the grantee of an interest in personal property that secures an obligation; "security interest" means either the ownership interest of a buyer of receivables or an interest in personal property that secures an obligation; and "collateral" means either receivables that have been sold

For example, according to the U.C.C., a contract between a business that has earned payment through performance ("receivables") and a factor, to transfer the right to those payments, may be a loan under the U.C.C., even if the parties claim that what has occurred is a sale.[172] According to some courts, X's transfer of the right receive payment from a third party to Y would not be a sale if, for example, X provided some kind of recourse to Y in the event of the third party's non-performance.[173] This is true even though Y may enjoy, as a result of the contract, many other rights that are associated with ownership, such as the right to any unexpected surplus arising from the third party's satisfaction of the payment right.[174]

The expression "secured lending" is a misnomer; as some scholars have observed, the real line drawn in Article 9 is between "a sale (or, as it commonly is called, a true sale) or . . . a security interest that secures an obligation (a SISO)".[175] A "security interest that secures an obligation" can take many forms; it need not be connected to a conventional recourse debt agreement (although it can be).[176] For purposes of this Article, it is important simply to observe that the fact that commercial TPLF is within U.C.C. § 9-109(a)(1) and not U.C.C. § 9-109(a)(3) is not simply a result of necessity, based on fact that a right to proceeds of a commercial tort are not payment intangibles until settlement or resolution of the claim; it illuminates an important and useful feature of TPLF. The phrase "security interest that secures an obligation" shifts the focus of Article 9 on secured *finance*

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or personal property that secures an obligation.

[172] *See, e.g., NetBank v. Kipperman* (In re *Commercial Money Ctr., Inc.*), 350 B.R. 465 (B.A.P. 9th Cir. 2006).

[173] *See, e.g., Major's Furniture Mart, Inc. v. Castle Credit Corp.,* 602 F.2d 538 (3d Cir. 1979).

[174] *See, e.g.,* Kettering, *True Sale Of Receivables*, *supra* note 171 *at* 540 (summarizing the transaction in *Major's Furniture Mart, supra* note 173). To be sure, *Major's Furniture Mart* has been criticized, but its significance here is not whether the line between loan and sale in Article 9 is drawn in the right place, but that the line is drawn in the U.C.C. in ways that includes far more in the former category than would be expected given the conventional understanding of a "loan".

[175] Seven L. Harris & Charles W. Mooney, Jr., *When Is a Dog's Tail Not a Leg?: A Property-Based Methodology for Distinguishing Sales of Receivables from Security Interests That Secure an Obligation*, 82 U. CIN. L. REV. 1029, 1030 (2014).

[176] *See* Robertson, *Optimizing the Litigation Funding Ecosystem*, *supra* note 89 *at* 32 ("It does not matter whether the loan is recourse or nonrecourse (that is, whether or not the client would have any obligation to repay if no lawsuit proceeds were realized); Article 9 has long incorporated both types of loans.").

and away from secured *lending*. Article 9 can wear many hats; it can govern the sale of certain interests (chattel paper, accounts, and general intangibles); it can govern secured lending; and it can govern other kinds of secured transactions that do not look like loans, but are types of financing.[177] Again, this is not to say that proceeds from lawsuits are not used in "conventional" forms of secured lending; they may be.[178] But there is no reason to conflate Article 9's various functions; and it is in fact helpful to recognize that in commercial TPLF, the claimholder neither sells a payment intangible nor uses the lawsuit as collateral for a conventional (recourse) loan. Under the U.C.C., the TPLF contract creates a security interest that secures an obligation to pay proceeds from litigation if and when the proceeds come into existence.

B. Control Over Security Interest in Commercial Law

The Funder Control Critique depicts the episodes where a funder has sought any degree of control over the conduct of litigation it has funded as aberrational.[179] But the background assumption against which the critique operates is itself not correct. Whether or not TPLF has sought control in the way the critique suggests (which, I have argued, it has not) the transfer of control is not in itself something abnormal in commercial law-- the area of law that is most relevant to TPLF. The possibility that control might transfer between parties in transactions governed by the Uniform Commercial Code is a normal, almost banal, feature of the law. It does not require any special justification. A party exercising its rights under Article 9 is not seen as seeking something abnormal or acting out of aberrant purposes. Not only has TPLF not caused the social harms alleged by the Funder Control

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[177] *See, e.g., Interflow Factors Corp. v. Hilton Holdings, LLC*, No. 09-22-00376-CV, 2023 WL 6631907, at *7 (Tex. App. Oct. 12, 2023 ("Article 9 applies to both an outright assignment of ownership of specified payment rights and to the assignment of specified payment rights for security ('SISO'), such as a security interest.")

[178] *See, e.g., Corcoran v. Land O'Lakes, Inc.*, 39 F. Supp. 2d 1139, 1147 (N.D. Iowa 1999) (holding that breach-of-contract claims can be collateral for recourse loans secured by anticipated lawsuit proceeds).

[179] *See, e.g.,* Steinitz, *Zombie Litigation, supra* note 72 *at* 9 (courts "recognize, and at times, presuppose as axiomatic" that plaintiffs must maintain control over their case). So for, example, both Steinitz and Parikh cite *Boling v. Prospect Funding Holdings LLC,* 771 Fed. Appx. 562 (6th Cir. 2019) to illustrate this point. In *Boling* the funder's control included the requirement that the plaintiff could not change its lawyer without the funder's consent (or change its lawyer without notifying the funder) (both obligations are mentioned by the court).

Critique, but underlying conduct the critique demonizes -- the exercise of some degree of control -- is not unusual or disfavored in commercial law.

Once we see that commercial TPLF is a form of secured finance, governed by Article 9 of the U.C.C., the question of the funder's control over the conduct of the litigation -- whether the funder has any, or has exercised it -- no longer deserves the kind of concern expressed in the Funder Control Critique. It is basic black-letter law that a party with a security interest (whether as a result of a sale or in order to secure an obligation) enjoys certain rights that allow it to take steps to protect that security interest. So, for example, a purchaser of receivables may notify the seller's clients and potential clients that the seller is in default, even if the purchaser knows that the seller opposes any such notice because it will interfere with the current and prospective business relations of the seller.[180]

As mentioned earlier, the U.C.C. uses terms of art with meanings that may not always line up with the conventional meanings of those terms as used by laypersons or even lawyers unfamiliar with commercial law. These terms are specific to transactions that are either result in a sale or the creation of a security interest that secures an obligation. So: once a security interest has attached, the party owed the obligation is the "secured party"; the party that owes the obligation is the "debtor" and any third party who owes the debtor an obligation is an "account debtor".[181] In the case of TPLF, the funder is the "secured party"; the counterparty/plaintiff whose suit is funded is the "debtor"; and the defendant in the funded suit is the "account debtor". This all follows from the fact that the proceeds to the claim are the security interest that secure the obligation (to pay the proceeds of the litigation if and when they exist).[182]

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[180] *See, e.g., S&M Indus., LLC v. Advantage Platform Servs., Inc.,* 2023 NY Slip Op 50905(U), ¶ 3, 80 Misc. 3d 1203(A), 194 N.Y.S.3d 464 (Sup. Ct.) (Secured party "was well within its rights to notify S&M's third-party creditors of its claim to the specific assets. (See U.C.C. 9-607 [a] [3].)").

[181] *See, e.g., Worthy Lending LLC v. New Style Contractors, Inc.,* 39 N.Y.3d 99, 104, (N.Y. 2022) (U.C.C. § 9-607 establishes the rights of the secured party vis-a-vis the debtor "and permits 'the secured party . . . to enforce and collect [from an *account debtor*] after default or earlier if so agreed'" (*citing* PEB COMMENTARY NO. 21 at 4 n 21).) (emphasis added).

[182] *See, e.g. Houston v. Eiler* (In re *Cohen*), 305 B.R. 886, 903 (B.A.P. 9th Cir. 2004) (proceeds from a lawsuit owed by an account debtor could be a security interest pledged by debtor (plaintiff) to secured party). Of course, the underlying lawsuit (not the proceeds) can be the security interest. In other contexts, such as conventional recourse lending, typically the borrower will pledge a lawsuit as a security interest. *See, e.g., Corcoran v. Land O'Lakes, Inc.*, 39 F. Supp. 2d 1139, 1147 (N.D.

What, in practical terms, does this mean for the funder? One can get a sense of the rights the funder has to protect its security interest under Article 9 by reviewing cases where secured parties took action in connection with legal claims that comprised their security interest. In *Palestine Water Well Serv., Inc. v. Washington Int'l Ins. Co.* a surety was faced with a large potential liability to a third party who claimed that the surety's principal failed to perform a contract (and, as a result, had to substitute the performance at great expense).[183] The principal, in addition to denying that it failed to perform, also had tort and property counterclaims against the third party.[184] The surety settled the principal's commercial tort claim with the third party as part of a larger global settlement to resolve the potential liability resulting from the principal's alleged failure to perform its contract with the third party.[185] The principal claimed that the surety was liable, under the U.C.C., because it failed to settle the lawsuit with the third party in a "commercially reasonable" manner.[186]

Palestine is interesting because of what was *not* challenged by any party, and what was taken as uncontroversial. The court held that the surety contract was governed by the U.C.C. Its reasons for this holding are not relevant to the argument made in this Article about TPLF, but it is worth noting that the court repeated a point made above: That security interests attach in many diverse circumstances and that the labels "secured party" and "debtor" can apply to any contract where one party offers property to another to secure an obligation, including (despite what laypersons and even many lawyers might think) surety agreements.[187] Once that was settled, the only issue disputed by the parties was *how* the secured party (the surety) handled the debtor's (the principal's) commercial tort claim.

Iowa 1999).

[183] 2015 WL 12910046 (W.D. Tex. Sept. 30, 2015).

[184] *See ibid.*

[185] *See id.*

[186] *See id. at* *11 (the principal alleged that the surety "had a duty to dispose of the conversion claim against East Bell in a commercially reasonable manner but failed to do so by settling a claim worth approximately $150,000 for $3,200").

[187] *See id* ("The first question presented by [the surety] is whether the U.C.C. even applies to surety agreements. The U.C.C. applies to collateral . . . [and] [c]ommercial tort claims are considered collateral under the U.C.C.") and *id. at* *14 ("Whether an agreement creates a security interest depends not on whether the parties intend that the law characterize the transaction as a security interest but rather on whether the transaction falls within the definition of 'security interest'. . . .").

What was not disputed was that, under U.C.C., the secured party had the right to settle the debtor's claim notwithstanding its objections.[188] The debtor insisted that the secured party settled the tort claim for too little, while the secured party insisted that it had acted in a "commercially reasonable" fashion given the circumstances.[189] The court held that this issue of fact could not be decided on summary judgement.

Palestine is an unusual case in some ways, and in others it is quite pedestrian. It arose under an atypical application of Article 9 -- the power of a surety to protect a security interest owned by a principal; and it arose under an atypical application of that power -- the power of the secured party to take control over the disposition of a commercial tort suit owned by the debtor. But the fact that an instance of the application of Article 9 is uncommon, when compared to the typical instances of secured financing under Article 9 does not mean that it is abnormal or suspicious. In fact -- and this is the point of this Section -- what we should learn from cases like *Palestine* is that, as a matter of commercial law, the idea that a party will have a contract right to control the disposition of the commercial tort claims (and the ensuing proceeds) of the counterparty is quite banal: in fact, it is built into Article 9 as a contractual default.[190]

U.C.C. § 9-607(a) gives, as a default, the power "enforce the obligations" of the account debtor to the secured party.[191] In the case of TPLF, this would include the right to proceeds of the commercial tort owed to the

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[188] *See id. at* *11 ("Under Chapter 9 of the Texas Business and Commerce Code, Texas's implementation of the Uniform Commercial Code . . . a secured party after default may dispose of collateral . . . .")

[189] *See id.*

[190] Whether a debtor can negotiate with a secured party to waive this power is beyond the scope of this Article. Note that a secured party and the debtor can agree by contract to expand this power to allow the debtor to take commercially reasonable steps even if there is no default. *See Worthy Lending LLC v. New Style Contractors, Inc.,* 39 N.Y.3d 99, 104 (N.Y. 2022).

[191]

> [A] secured party:
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> . . .
>
> (3) may enforce the obligations of an account debtor or other person obligated on collateral and exercise the rights of the debtor with respect to the obligation of the account debtor or other person obligated on collateral to make payment or otherwise render performance to the debtor . . . .

counterparty/plaintiff. Under U.C.C. § 9-607(c) imposes, as a default, the obligation on the secured party to enforce the account debtor's obligation against the debtor in a "commercially reasonable manner".[192] In the case of TPLF, means that the funder, if it elected to exercise its rights under U.C.C. § 9-607(a), would have to proceed in a "commercially reasonable manner" (and give any surplus it obtained to the counterparty/plaintiff).[193] It might seem strange that Article 9-607 could apply to litigation funded by a third party, but the U.C.C. clearly includes that possibility. As Comment 9 explains, "[s]ubsection (c) provides that the secured party's collection and enforcement rights . . . must be exercised in a commercially reasonable manner. *These rights include the right to settle and compromise rights against the account debtor*".[194]

In other words, the U.C.C. automatically builds into the default contracts between funders and the parties they fund the power to enforce the latter's legal rights when they (or their proceeds) comprise the security interest identified in the secured financing agreement (the funding contract). This is a separate and independent point from the question of whether the funder needs to have filed and U.C.C.-1 and when they need to have done so; for purposes of this Article, let us assume that funders always file a U.C.C.-1 clearly specifying the proceeds of the litigation funded in the TPLF agreement.[195]

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> A secured party shall proceed in a commercially reasonable manner if the secured party:
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> (1) undertakes to collect from or enforce an obligation of an account debtor or other person obligated on collateral; and
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> (2) is entitled to charge back uncollected collateral or otherwise to full or limited recourse against the debtor or secondary obligor.

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> A secured party shall proceed in a commercially reasonable manner if the secured party:
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> (1) undertakes to collect from or enforce an obligation of an account debtor or other person obligated on collateral; and
>
> (2) is entitled to charge back uncollected collateral or otherwise to full or limited recourse against the debtor or secondary obligor.

194 *See* Official Comment 9 to § U.C.C. 9-607 (emphasis added).

195 *See, e.g.,* Robertson, *Optimizing the Litigation Funding Ecosystem*, *supra* note 89 *at* 42 (recommending that every commercial TPLF contract be recorded with a

In other, less controversial, episodes of secured finance, such as secured lending, courts have allowed secured parties to enforce their debtors legal rights by filing -- and presumably unilaterally conducting -- litigation to enforce the debtor's claim.[196] While there are differences between the purpose of the security interest that secures an obligation in more familiar instances of secured recourse lending and the relatively unfamiliar instances of secured litigation finance, these distinctions do not add up to a difference of any legal significance. The range of actions permitted under U.C.C. § 9-607(a)'s grant of power to "enforce the obligations" of the debtor should be determined by the practical circumstances faced by the secured party. While in some cases, U.C.C. § 9-607(a) may be satisfied by actions as anodyne as (i) writing a letter to the account debtor demanding that it direct payments to the secured party, and not the debtor (in the cases of the sale of receivables), and in other cases (such as *Palestine*) it may be satisfied by a more formal legal interaction, such as (ii) the settlement and release of the account debtor in connection to the commercial tort suffered by the debtor; there is, in theory, no legal reason why the secured party could not initiate a lawsuit against the account debtor to recover the proceeds of a tort claim arising from a security interest that was destroyed by the account debtors actions. For example, (iii) a suit for damages where the security interest is intellectual property and the account debtor's infringement cannot be remedied by injunctive relief. Obviously, the frequency of each of these instances will decline moving from (i) to (iii), but that is a function of contingent, practical facts of the world (there are far more instances of secured recourse lending than secured financing involving intellectual property; the costs of enforcing the secured party's rights are far lower in (i) than (iii); etc.). But none of that affects that underlying observation that the U.C.C. had always built into its default rules the power of the secured party to affect the legal rights the counterparty has in the security interest. In other words, the very thing that the Funder Control Critique identifies as abnormal and potentially dangerous in TPLF is dull and boring in commercial law.

U.C.C.-1 filing).

[196] *See, e.g., Agri-Best Holdings, LLC v. Atlanta Cattle Exch., Inc.*, 812 F. Supp. 2d 898, 901 (N.D. Ill. 2011) (where the debtor "defaulted on its indebtedness to its secured creditor," the secured creditor was entitled to "enforce the obligations of" the account debtor and "'exercise the rights' of [the debtor] by pursuing [a] lawsuit."); *and see ImagePoint, Inc. v. JPMorgan Chase Bank, Nat'l Ass'n*, 27 F. Supp. 3d 494, 507 (S.D.N.Y. 2014) *and Wells Fargo Bank Nat. Ass'n v. Kal-Rich, Inc.,* 2010 Mass. App. Div. 103, 2010 WL 1740603 (same).

Does this mean that a funder can, like the surety in *Palestine*, go behind its counterparty/plaintiff's back and settle a case without its permission? As one expert on commercial law noted, in commenting on the relationship between the U.C.C. and TPLF, since "Article 9 is intended to be self-enforcing with respect to . . . collateral, and . . . judicial enforcement of [U.C.C. § 9-607(a)] is rarely used . . . there is no established body of precedent on which to draw in order to predict results."[197] But the question I want to address is not, hypothetically, *what* could a commercial funder do in connection with a lawsuit it funded, although that question is certainly important and worth examination in the future.[198] The precise question I want to address is, under Article 9, whether a funder may invoke its powers under U.C.C. § 9-607(a) to stop a counterparty/plaintiff from settling with the defendant, even if there were no contractual provision granting such a power? The answer, I think, is "why not?". Assuming that the funder, as a secured party, correctly believed that the counterparty/plaintiff, as a debtor, was about to irrevocably destroy the security interest's economic value by accepting a unreasonably low settlement, such that performance of the obligation secured by the security interest was made impossible, it would seem to be the case that the funder would have the power to take all reasonable steps to prevent the settlement, including asking a tribunal to reject it or prevent it. But this is precisely what the Funder Control Critique denies could be achieved by contract between the commercial funder and the counterparty/plaintiff. And that makes no sense -- it would be strange, indeed, if the common law forbade something that the U.C.C. has allowed as a matter of course.

One objection to my argument is that U.C.C. § 9-607(a) does not say anything about the funder's legitimate powers vis-a-vis the counterparty/plaintiff, since it only authorizes the secured party to take commercially reasonable steps vis-a-vis the account debtor, not the debtor. In other words, none of the cases cited in connection with the U.C.C. are exactly like the question I am posing, since none of them involved a secured party asking a court to force the debtor to do anything (either reject or accept a settlement). That is true, but again, it seems to be a distinction without a legal difference. After all, it is hard to see why, from a practical point of view, the

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[197] Sandra Stern, *Borrowing from Peter to Sue Paul: Legal & Ethical Issues in Financing a Commercial Lawsuit,* New York City Bar, Center for Continuing Legal Education, 2013 WL 2297350.

[198] Stern clearly thinks that a commercial funder may, under some circumstances have the right to settle the lawsuit it funded with the defendant. *See ibid at* 12.

loss of control over one's chose in action is any less offensive where the secured party goes behind the back of the debtor and releases the account debtor from any legal obligation to the debtor. The complete elimination of a claim is at least an equal, if not a greater, form control over the claim. Yet that is certainly what the caselaw allows.

A further objection might be there is a difference between settling a claim with the defendant, and 'vetoing' a settlement. In other words, to borrow Steinitz's metaphor, being a zombie is worse than anything else, including the elimination of one's legal claim, because at least in the latter case, no one is forcing you to do anything. (It should be noted that this argument would apply to other actions by the funder, such as requiring the counterparty/plaintiff to settle at a certain amount it deems too low, or requiring the funder's consent to replace existing counsel.) This argument must confront the response above, which challenges the difference between the control allowed by Article 9 (where the funder may settle *with* the defendant) and the control that would (under this objection) be putatively disallowed (where to funder instructs the counterparty/plaintiff to refuse a settlement or accept a settlement). If the funder has the power, as a secured party, to preserve the value of the collateral in circumstances where any commercially reasonable person would believe it was at risk of impairment, then it is hard to see why it would make a difference if the funder exercised that power by making a demand of the counterparty/plaintiff, as opposed to ignoring the explicit demand of the counterparty/plaintiff by directly settling with the defendant.

In the context of the specific question I am asking -- whether a funder may invoke its powers under U.C.C. § 9-607(a) to stop a counterparty/plaintiff from settling with the defendant -- there is further nuance. The funder is not forcing the counterparty/plaintiff to *do* anything when vetoing the settlement. It is true that the counterparty/plaintiff's freedom of action is limited (it cannot take steps towards the settlement it wanted) but all that means is that an action that was sought by the counterparty/plaintiff is not available. The subsequent action that follows -- the continuation of the litigation -- is not a new set of acts, but a continuation of a course of conduct which the counterparty/plaintiff had pledged to conduct at the outset of the TPLF relationship.[199]

A final objection is this: U.C.C. § 9-607(a) is irrelevant, because it specifies remedial powers in the event of breach, and the scenario I have raised -- which is based, of course, on the *Sysco* example -- involved a

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[199] See discussion of *Sysco, supra* at Section III.A.

contract that gave powers to the funder that it exercised without it declaring a default. There are two responses to this objection. First, as already noted, the power to preserve collateral specified in the event of default in U.C.C. § 9-607(a) is triggered by a default, but the U.C.C. allows that it could be expanded so that the secured creditor may exercise that power even if the debtor was not in default.[200] Second, and more important, *if* a commercial TPLF contract is a form of secured financing -- and this Article takes the view that it is -- then it would necessarily be the case that the failure of the counterparty/plaintiff to conduct the litigation in a commercially reasonable manner would be a material breach of the funding agreement. After all, the point of the contract was to assist the counterparty/plaintiff's lawsuit. Even if the funding contract did not explicitly require the counterparty/plaintiff to use "best efforts" (and virtually all of them do), it can hardly be denied that the "debtor" in this instance -- the counterparty/plaintiff -- represented to the secured party -- the funder -- that the financing would be used to produce a specific result.[201] The obligation secured by the security interest has to have some content. The financing was directed towards a specified end, the achievement of which limits the debtor's discretion. The specified end, in the case of TPLF, is the conduct of the litigation. While the debtor in this case -- the counterparty/plaintiff -- could not covenant that the litigation would produce proceeds (that is why the "debt" is non-recourse); its acceptance of the funding implied that it would act in good faith in conducting the litigation. Obviously, abandoning the litigation for no reason at all would be a breach of the implied covenant of good faith which automatically attached to the contract.[202] By extension, destroying the value of the proceeds produced by the litigation could be, depending on the underlying facts, be a breach of the implied covenant of good faith and therefore a default.

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[200] U.C.C. § 9-607 begins: "*If so agreed*, and in any event after default, a secured party . . . ."

[201] A covenant to exercise "best efforts" can be explicitly written into the funding agreement or could be implied. *See, e.g.,* Larry A. DiMatteo, *The Norms of Contract: The Fairness Inquiry and the 'Law of Satisfaction'--A Nonunified Theory*, 24 HOFSTRA L. REV. 349, 425 - 27 (1995).

[202] *See, e.g.,* Jay M. Feinman, *Good Faith and Reasonable Expectations*, 67 ARK. L. REV. 525, 525 (2014) ("The recognition that there is an obligation of good faith in every contract has been regarded as one of the most important advances in contract law in the twentieth century.").

C. Beyond the Default Provisions of Article 9

One might imagine that the final retreat of the proponents of the Funder Control Critique is to object that their analysis was based on the problem of funders seeking additional powers so that they could engage in illegitimate contractual overreach, and not funders using powers built into commercial law to respond to a breach by the counterparty/plaintiff. But this simply begs the question of how to characterize the motive behind the funder's pursuit of additional powers in the contract. As we have seen, Steinitz asserts that the funders want to "zombify" the counterparty/plaintiff); Parikh asserts they want to take control in order to "alchemize" fraudulent and spurious claims. But there is another, more pedestrian explanation for why a funder might choose to make explicit in a contract what specific power they have to protect their collateral. Doing so may, in some circumstances, make contracting more efficient and benefit both the funder and the counter/plaintiff.

Consider the following example:

Plaintiff (P) is a small privately-held manufacturer of voting machines. In the 2020 election, Defendant (D), a media company with a reputation for holding a politically conservative perspective, published reports that P had "rigged" its voting machines. As a result of these communications, P suffered immediate and future economic injury to its business relations. P, convinced that it had a good claim is various torts (such as trade libel) sought to sue D and entered negotiations with Firm, one of the best media law firms in the jurisdiction, for representation. Firm believed that P had a good case, but refused to work on a contingency. P, convinced that Firm was the best choice for its matter, sought funding from Funder so it could retain Firm.

Firm estimated a $10 million litigation budget and requested an $8 million retainer to cover initial legal fees and expenses. Firm estimated that D's liability was between $30 million and $50 million. In 2022 Funder agreed to advance the $8 million retainer. Its TPLF agreement (the Contract) stated that P owed Funder nothing if no proceeds were generated in P v. D, net Firm's fees and expenses, and that if proceeds were generated, Funder would receive 100% of all proceeds until it received $8 million, and then it would receive 50

cents of every dollar in proceeds until it received an additional $8 million. After that point, all proceeds would be P's property. Contract also specified (i) P was obliged to inform Funder of any "significant" developments in P v. D, including any settlement offer (from either side); (ii) P could not settle P v. D on terms that Funder deemed commercially unreasonable; and (iii) Funder's judgement in (ii) could not be exercised unreasonably. In the course of negotiating the Contract, Funder asked P whether it would insist on an apology from D in case of a settlement. P represented to Funder that it would not require an apology from D to settle. The Contract was signed and Funder filed a U.C.C.-1.

By early 2024, Firm had conducted pretrial motion practice in P v. D and believed that P would prevail if there were a trial. Firm gave regular updates about the case to P. Firm informed P that, in its professional opinion, it believed that the case could settle for $24 million. P relayed this information to Funder (per the Contract). In late 2024, the $8 million retainer had been spent. Unbeknownst to Funder, the CEO of P had changed his political views and now felt sympathetic to the political perspective of D. CEO decided, therefore, to offer to settle P v. D for $1 and an apology from D.

Per the Contract, Funder was informed by Firm that P would offer to D a settlement of $1 and an apology from D. Funder requested from P an explanation for the settlement offer. Funder asked whether there were any material changes in the legal merits of P v. D that had led Firm to change its professional opinion about the case and its settlement value. P answered (truthfully) that Firm had not informed it of any material change in the legal merits of P v. D. Funder asserted that the settlement of $1 an apology from D was not commercially reasonable, given that there was a likelihood of a recovery of at least $24 million. P responded that, given that the reserve was expended, any additional legal fees would come out of its own pocket, it wanted to settle. (In fact, in 2022 P had budgeted for the likely event that it would have to provide $2 million, and it had those funds available in 2024.). Funder offered to advance the additional $2 million required by Firm, under the same economic terms as the original Contract. P refused.

Clearly, Funder could ask a court to enforce the Contract and enjoin P from settling with D for $1 and an apology. Given these facts, we can stipulate that P's decision to settle for $1 and an apology is commercially unreasonable, or at least that a fact-finder (such as an arbitrator, judge or jury) would probably so find. The Contract gives Funder the power to prevent certain types of litigation conduct by P; this includes the settlement it has indicated it wants to offer D. P's reasons for conducting its litigation in the manner to which Funder objects are irrelevant to the question as to whether Funder may exercise its power to prevent P; the question is not whether P's stated reasons are sincere, or commendable, but whether the settlement is commercially reasonable.

But what of the objection that, by allowing Funder to take from P a course of conduct it now desires to pursue, P's control over its own lawsuit has been transferred to Funder? In other words, has P become a "zombie"? This claim requires careful consideration of what the Funder Control Critique means when by the word "control".

Obviously, Funder does not fully control P or P's claim. For example, under the Contract, Funder cannot force P to settle P v. D.[203] Nor could it refuse to allow P to settle the lawsuit for $24 million if it believed, unreasonably, that D would prevail at trial.[204] Funder's power under the Contract does not give it anything like full control over P v. D; and to suggest, as the Funder Control Critique seems to do, that *any* act by Funder that limits P's is to conflate influence with ownership. A secured party can influence a debtor -- if the latter defaults the former may enforce rights in ways that cause the latter to change its course of conduct -- but that does not mean that the secured party fully controls (or owns) the security interest. In the same way, just because Funder can frustrate P does not mean that Funder fully controls (or owns) P v. D.

Furthermore, it is unclear whether the fact that P would be frustrated if it could not settle with D for $1 and an apology is evidence that it has suffered a limitation of its control over P. v. D. From the perspective of when the Contract was signed in 2022, P is not suffering a limitation.

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[203] If Funder were a natural person who, like the CEO of P, adopted political values by 2024 such that she had come to regret financing P's lawsuit, she could not force P to settle the case for $1 and an apology.

[204] Again, if Funder were a natural person who, like the CEO of P, adopted political values by 2024 such that she had come to regret financing P's lawsuit, she could not prevent D and P from settling the lawsuit for $24 million if she believed (unreasonably) that D would prevail at trial.

Funder's action (to seek an injunction) will only put P back in the position it occupied in 2022 -- that of a plaintiff seeking a commercially reasonable settlement. The example above intentionally sets up a settlement preference which is clearly commercially unreasonable on its face; this is the major difference between it and *Sysco*, where Sysco argued that the settlements it sought were commercially reasonable. This rhetorical alteration serves a purpose -- to clear away a distraction. In *Sysco,* Burford believed that the settlements sought by Sysco were commercially unreasonable, and it believed that it could demonstrate the truth of its belief in arbitration. Sysco may have believed the converse; it may have believed that its conduct was commercially reasonable, and it could demonstrate that in arbitration. *But that is not what the Sysco case was about*. *Sysco* -- the legal dispute cited by Steinitz and Parikh -- was about whether Burford could, as a matter of contract law, cause Sysco to change its litigation conduct *if* the settlements sought by Sysco were commercially unreasonable. Sysco's position was that even if, as a matter of objective fact, the settlements were commercially unreasonable, Burford could not prevent Sysco from settling the cases, because Burford did not have the power to interfere with Sysco's conduct of its litigation, even if only to ensure that commercially reasonable settlements resulted from the litigation. The example above, while perhaps fanciful, makes clear what, in fact, is entailed by the Funder Control Critique. It would say, for example, that the Contract could not contain a grant of power to Funder to interfere with P's litigation conduct -- the settlement of P v. D for a $1 and an apology -- *even if* P conceded that $1 and an apology was not a commercially reasonable settlement, as long as it was a settlement that it could have secured if it had absolute freedom to conduct of P v. D in any way it wished.

D. Contract Theory and the Partial Transfer of Control

It should be clear by now that the Funder Control Critique is wrong about TPLF causing the social harms it spuriously attributed to the purported transfer of control in funded cases, and it is wrong about the degree to which the transfer of control -- when it actually is permitted (as it is in the U.C.C.) -- is abnormal or aberrant (it's not). But it is worth noting, as well, that modern contract theory supports the partial transfer of control, at least in the context of commercial TPLF.

When one party comes to believe, ex post, that the performance of a contract is no longer in its interests, it can ask the other party to release it from its obligation to perform, or it can choose to breach and subject itself

to the remedies set out in the contract. That is what contract law demands, unless the contract is void. Funder Control Critique provides a reason, from within contract law itself, for a court to void the TPLF contract in a case like *Sysco*. If I am correct, as argued above, that in fact, partial transfer control of settlement by contract does not lead to significant social harms, and if we ignore (for the moment) that the U.C.C. allows a secured party to exercise partial control over settlement, the last stand of the Funder Control Critique must be that partial transfer control of settlement in a TPLF contract is void since it relies on a term that is unconscionable and/or offends public policy.

As Steinitz correctly observes, the "proper question [in *Sysco*] isn't whether freedom of contract applies in some general sense to a contract between a funder and a (sophisticated) plaintiff" since the answer in the affirmative is "a truism in our system."[205] The question is whether contract law, broadly defined, imposes a categorical "exception to freedom of contract" when a plaintiff transfers the right to settle to a funder.[206] She says the answer is "a clear yes".[207] This is why she can continue to insist on the illegality of the contract provision granting *Sysco* limited control over settlement even in the face of the fact that the U.C.C. points in the opposite direction. Her position is based on a claim about what the common law requires. But, given the dearth of precedent on this question, it makes sense to ask whether, in fact, contract theory -- which purports to interpret common law -- aligns with the Funder Control Critique.

1. Hands-Tying and Welfare Maximization

A widely accepted view of contract law is that its purpose is to maximize the welfare of the contracting parties. Contract law is designed to secure the ends of the contracting parties, which, in most contexts is wealth maximization.[208] As Alan Schwartz and Robert Scott put it, "[c]ontract law

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[205] Steinitz, *Zombie Litigation, supra* note 72 *at* 29.

[206] *Ibid at* 10.

[207] *Id. at* 29.

[208] *See, e.g.,* Richard A. Posner, *The Law and Economics of Contract Interpretation,* 83 TEX L. REV. 1581, 1583 (2005) ("The goal of . . . contract interpretation . . . is to minimize transaction costs, broadly understood as obstacles to efforts voluntarily to shift resources to their most valuable use.").

should facilitate the efforts of contracting parties to maximize joint gains (the 'contractual surplus') from transactions."[209]

A subsidiary implication of standard contract theory is that "hands-tying" contracts, when efficient, should be enforced.[210] A hands-tying contract is a contract that requires a second party to make an investment decision subsequent to the first party's investment under the contract, notwithstanding information it has would make it rational not to invest.[211] While not precisely what Hansmann & Kraakman described when they introduced this term, a TPLF contract that gives the funder partial control over settlement resembles a hands-tying contract in ways that illuminate its efficiency. A hands-tying contract solves this problem:

> If the parties expect to share the payout from the project and if, after the first party has invested, the second party learns that the project will be less successful than originally anticipated, the second party has an incentive to withhold investment whenever the cost of investing would exceed her revised estimate of her share of the project's returns.[212]

In a TPLF contract, the first party is the funder and the second party is the counterparty/plaintiff. The "project" is the litigation. In the particular situation addressed by the Funder Control Critique in *Sysco* (and the Example above), the "project" is the litigation, and the counterparty/plaintiff "learns"

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[209] Alan Schwartz & Robert E. Scott, *Contract Theory and the Limits of Contract Law*, 113 YALE L.J. 541, 609 (2003).

[210] *See, e.g.,* Henry Hansmann & Reiner Kraakman*, Hands-Tying Contracts: Book Publishing, Venture Capital Financing, and Secured Debt*, 8 J. L. ECON & ORG. 628 (1992).

[211] *See ibid at* 629:

> When two parties invest at different times during the development of a common project, the first investor is vulnerable to the risk that the second will opportunistically withhold her investment. . . . Such a unilateral decision to withhold investment will be inefficient if the project's total expected payout remains sufficient to justify the second party's investment. . . . If the risk of such an opportunistic decision to withhold investment is large enough, both parties have an incentive to write a contract ex ante to compel the second party's investment regardless of what she may subsequently learn about the project's prospects. We term such contracts "hands-tying contracts."

[212] *Id.*

that the litigation will be "less successful" when it comes to prefer an outcome different than the one it originally anticipated when the funder advanced it money. In the Example, P anticipated estimated proceeds from P v. D. of at least $24 million; which it now finds less attractive than $1 and an apology.

Of course, under the common law, a TPLF contract could be drafted without a hands-tying provision about settlement. In fact, it appears that the general practice in the United States TPLF market is to do just that.[213] The fact that a TPLF contract with a hands-tying provision about settlement is rare does not mean, however, parties would never find it efficient to do so.

A hands-tying provision on settlement is, basically, a promise by the counterparty/plaintiff to the funder to forbear from availing itself of an opportunity in the future. At the formation of the contract (T_0) the counterparty/plaintiff manifested (either explicitly or implicitly) that it would choose whether to settle based on criteria disclosed to the funder (C_0). Without a hands-tying provision on settlement, the counterparty/plaintiff could, in theory, choose to settle at T_1 using criteria different from those is manifested to the funder (C_1). With the hands-tying provision on settlement, "tied" itself to a choice -- to choose only a settlement based on C_0. In the the Example, the Contract limited P to consider only those settlements which were "commercially reasonable," given the initial estimate of the damages that could be recovered at trial ($30 million - $60 million) discounted by the cost of continuing the litigation and all relevant information about the litigation available at the point in time (e.g., the disposition of motions; the performance of witnesses in depositions (if any were taken); and new information obtained in discovery and other investigations (if any). While the obligation to settle based on C_0 does not specify a determinate course of conduct (e.g. "settle for $24 million"), it excludes some choices -- like C_1, which, we can stipulate for purposes of the example, are, as a matter of objective fact, not commercially reasonable (e.g., "$1 and an apology").

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[213] *See, e.g.,* M. Todd Henderson, *The Justice Case for Litigation Finance*, LITIGATION 33, 35 (2022) ("Whether the plaintiff's claim is being funded by a litigation finance company is a red herring in most cases because the typical litigation financing provides funders with no control over the litigation.") *and see* Brian Fitzpatrick & William Marra, *Agency Costs in Third-Party Litigation Finance Reconsidered,* Vand. Univ. L. Sch., Working Paper No. 23-45 (2023) *at* 2 - 3 (https://papers.ssrn.com/sol3/papers.cfm?abstract_id=4649666) ("'most financiers proclaim they never try to control litigation").

Why would P and D agree to a hands-tying provision on settlement? Obviously, as already noted, there has to be some way that it would increase the expected welfare of the contract over the status quo (no hands-tying provision on settlement). As Christine Jolls has shown, a contract term that prohibits modification of the contract in the future may be jointly welfare maximizing for the parties.[214] Conversely, a rule (such as the one entailed by the Funder Control Critique) that such contract terms are unenforceable (unless the modifications sought are the product of duress) is inefficient in some circumstances.[215] These circumstances are varied, but the one relevant to a hands-tying provision on settlement is where the parties recognize that there is a serious risk of "time-varying preferences": preferences "that 'differ at the time of action from what they were earlier, when the prospect was contemplated but the decision was still in the future.'"[216]

A time-varying preference is a reason for performance of the contract that has a lower welfare value to a party than that party believed it would have at the contract's formation.[217] The example Jolls gives is a contract to save: A bank promises to hold a customer's money and promises to limit the customer's period withdrawal at T_1, T_2, etc. by an amount agreed by contract at T_0. Assume the customer at T_0 asks the bank to limit the withdrawal at T_1, T_2, etc. to $x. The customer's intention at T_0 is based on her belief at T_0 about the value of the consumption of $\$x$ at T_1. However, at T_1, and the consumption of her money is imminent, the customer values consumption of each dollar much more than she had imagined at T_0. So, it makes sense for her (from welfare maximization perspective) to ask the bank to modify the contract and give her $\$2x$. But of course, assuming that she has a finite amount of money, this will result in less money being available to her at future withdrawals (T_2, T_3, etc.) and her total welfare -- the welfare upon which she planned her contract at T_0 -- is reduced to less than what she would have had if the contract was not modified the contract at any point

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[214] *See, e.g.,* Christine Jolls, *Contracts as Bilateral Commitments: A New Perspective on Contract Modification*, 26 J. LEGAL STUD. 203, 205 (1997) ("Contrary to traditional wisdom, the parties to a contract may be better off if the law enables them to tie their hands, or ties their hands for them, in a way that prevents them from taking advantage of certain ex post profitable modification opportunities.")

[215] *See ibid at* 208 - 09 ("The standard rationale for the existing legal restrictions on modification is that the modification process may be coercive. . . . Coerced modification offends the normative prescription of maximizing contractors' welfare.").

[216] *Id. at* 210 (*quoting* THOMAS C. SCHELLING, CHOICE AND CONSEQUENCE 84-85 (1984)).

[217] *Id.*

after T_0. In other words, the customer would have been better off with a contract that could not be modified by mutual agreement between her and the bank. Jolls observes that the rational contractor, like Ulysses, who tied himself to the mast, understands that "opportunities for ex post profitable modification may reduce contractors' ex ante welfare in settings in which one party has preferences that vary over the course of the contracting relationship."[218] Even if all the gains from prohibiting the ex post modification go to only one party, it would still be rational for both parties to agree to the prohibition simply because it would assure the creation of a welfare gain (compared to welfare that would be produced without the prohibition) that could be shared by both parties in the pricing of the contract ex ante.

2. Welfare Maximization and Hands-Tying Provisions On Settlement

Jolls' analysis suggests that when a hands-tying provision on settlement is efficient, it should be allowed. Recall that the Funder Control Critique asserts that a hands-tying provision on settlement should never be allowed, on the grounds that such a contract provision is inconsistent with the common law of contract. It is hard to see on what basis such a claim is made. The theoretical problem posed by a party who has a time-varying preference can be analogized to a concrete problem that arises in commercial TPLF. Recall that a time-varying preference is a problem for a party seeking to make a contract because that party knows that certain "ex post profitable modifications . . . reduce [its] ex ante welfare . . . [and] anticipation of the modification opportunity by rational parties may interfere with [the] parties' ability to create desirable incentives."[219] Jolls' point is that, as long as both parties at T_0 know that one party's preference at T_1 about a contract term will change because it has a time-varying preference, and they know at T_0 that the party acting on its time-varying preference at T_1 will reduce the joint gains of the contract (however distributed), it is rational for the parties to agree to bind the party with the time-varying preference with an irrevocable promise.

In the Example, the hands-tying provision on settlement is welfare maximizing from the ex ante perspective of P and Funder if we assume (as stipulated) that P's criteria for settlement were C_0 at T_0. That is, at T_0, when

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[218] *Id.*

[219] *Id. at* 204.

the Contract was negotiated, P's preference was to obtain the maximum proceeds from D that were commercially reasonable (taking into account all the risks of litigation that would become known as the matter was pursued by Firm). From P's perspective at T_0, its future self at T_1 would be acting *inefficiently* by adopting C_1 as the criteria for settlement with D, even if from P's perspective at T_1 a settlement of $1 and an apology from D was the optimal result in P v. D. That being the case, it would be rational for P to agree to the hands-tying provision on settlement. And of course, it would be rational for Funder to offer it, if it had any reason to believe that P would experience a change preference that would lead it to prefer C_1 at T_1. This conclusion is relatively modest -- I am not asserting that a hands-tying provision on settlement should be included in every commercial TPLF contract, or in every TPLF contract with specific features comparable to the features of the transaction in the example. All I am saying is that *if* a commercial TPLF contract is negotiated, freely and without duress, that contains a hands-tying provision on settlement, there is no reason, contra the Funder Control Critique to assume *prima facie* that the provision is inconsistent with the common law of contract.

3. *Sysco* (again)[220]

The contract provision in *Sysco* criticized in the Funder Control Critique can be viewed as an effort to maximize the joint welfare produced by the TPLF contract, given the risk that counterparty/plaintiff's preferences could change as a result of the emergence of outcomes not originally taken into account when the contract was created. When Sysco negotiated the TPLF contract in 2019 (or its revision in 2020), Sysco had beliefs about the likely outcome of the litigation.[221] Sysco's *preferences* about the litigation were the product of (1) the value it placed on the outcomes it foresaw; (2) the likelihood of those outcomes; (3) the cost of securing the outcomes; and (4) the criteria (C_0) it used for weighing the relative value of these factors at

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[220] This claim and all of the analysis that follows is based on publicly available information.

[221] As noted above, these would have been based on many factors, including the probability of the defendants winning dispositive motions, including summary judgement; the probability of prevailing at trial and the remedy it would receive; the probability of appeal, and the probability the judgment would be uncollectable or unenforceable; as well as the probability of settlement and the benefits that would accrue from settlement.

that time (T_0). One can assume that Burford, took reasonable steps to ascertain Sysco's the factual and legal basis of (1) - (4).[222]

The beliefs about the likely outcome of the litigation and its criteria for weighing them comprised, *at the time of contracting,* the universe of reasons Sysco had for continuing the litigation. That is, given that abandoning the litigation was always an option, Sysco's decision to continue the litigation meant that it believed that, for the set of outcomes above, the likelihood of an outcome, balanced against the expected costs of securing the outcome, maximized its welfare under the criteria it manifested to Burford. The only reason Burford would advance capital to Sysco would be if it were the case that the expected welfare created by the litigation was divisible such that both Sysco and the funder were made better off by the litigation's resolution. While the funder may have had its own independent beliefs about the outcomes of the litigation, they would have been based, at some level, on what Sysco manifested about the outcomes of the litigation, including each outcome it wanted and how much it valued that outcome, both objectively and relative to other outcomes.

The assumption behind every commercial TPLF contract is that there will be joint welfare gains produced by the performance of the contract shared by the funder and the plaintiff. While it is possible, in theory to devise mechanisms by which the welfare gain to the plaintiff of a non-pecuniary litigation outcome can result in a pecuniary payment to the funder, standard commercial TPLF contracts do not base the contract's contingent returns on a non-pecuniary litigation outcomes such as injunctive relief.[223] This means that the standard commercial TPLF contract treats pecuniary litigation outcomes as the only metric by which the contract's joint welfare is measured. Any cost borne by the plaintiff that affects the litigation

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[222] This assumption is made based on what a rational firm would do in the Burford's position. The funder for example, wants as much truthful information from the plaintiff as it can get consistent with maximizing the plaintiff's expected litigation outcomes. So, for example, information which can only be obtained with the consequence that privileged communications or work product would be made available to the defendant in the litigation would only be shared if the funder and plaintiff expected that benefit of risk of waiver outweighed the cost.

[223] It goes without saying that in most cases, injunctive relief would not produce a surplus that would practically divisible between a funder and the counterparty/plaintiff, but that may not always true. In any event, as the Example, illustrates, a settlement that produced "$1 and an apology" would not produce a surplus practically divisible between a funder and the counterparty/plaintiff.

outcome is an endogenous cost of contracting which will be taken into account by both parties when they evaluate of the contract's joint welfare *ex ante*.[224]

The legal dispute resulted from Burford's claim that the *ex post* course of conduct by Sysco breached the contract because it sought a settlement that was commercially unreasonable at T_1. Sysco offered two reasons for seeking the T_1 settlement.[225] The first was that the monetary amount offered by the defendants was superior to any that it could expect in the future.[226] The second was that it would secure the "repair" of its relations with the defendants in its suits (who are described as "key suppliers").[227] The former suggests a disagreement between Sysco and the funder over the expected value of the suit, assuming the original criteria for settlement of maximizing the monetary recovery (C_0), while the latter suggests a disagreement over the criteria for settling the suit -- in other words, that Sysco had adopted new criteria (C_1).

If all that the funder was worried about when the contract was drafted was that there would a good faith disagreement between it and Sysco over the significance of new facts or new legal developments to the maximization of the monetary recovery, limited transfer of the power to settle would probably not have been the subject of negotiation during the formation of the contract at T_0. While the funder may have anticipated that Sysco's professional managers and lawyers may have come to a different conclusion about the expected value of the litigation based on information available to both it and the funder, the risk went both ways (Sysco must

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[224] This will include out of pocket legal expenses as well as related costs, such as manpower losses due to management sitting for depositions, etc.

[225] It is not clear from the pleadings whether Sysco argued to the tribunal that the settlement was "commercially reasonable" or that it did not have to settle the litigation in a commercially reasonable fashion. If the former, given its position that its decision to settle could not be reviewed by an arbitrator, the two collapse into each other for all practical purposes.

[226] *Sysco at* ¶ 219(iii).

[227]

> "Sysco has a right, pursuant to public policy, not to be forced to continue to litigate against its will. Continuing to litigate in the coming months will entail engaging in discovery depositions that will inevitably create hostility between Sysco and its suppliers."

Id. at ¶ 219(iii) (paraphrasing Sysco's submission to the panel). *See also* Steinitz, *Zombie Litigation*, *supra* note 72 *at* 3.

have anticipated the same about the funder) and from a contract design point of view, there would be no reason to prefer one party's judgment over the others. Even if the relative value of settlement changed between T_0 and T_1 due to changes in other endogenous factors whose value to Sysco were idiosyncratic, such as the cost to it of lost manpower due to the distractions imposed by litigation, the existence of and risk of change in cost to the plaintiff is something which the funder would have known about, both because of Sysco's disclosure of these factors (if it was asked) and the funder's own analysis of the costs of litigation (it is a firm specializing in litigation finance).

However, the possibility of a disagreement between Sysco and the funder over the criteria for settling the suit, if anticipated, could explain why Burford asked for the limited transfer of the power to settle during the formation of the contract at T_0. While in theory the "repair of the relationship between Sysco and the defendants" could have counted towards the joint welfare produced by the TPLF contract, whether it did is a matter of contingent, historical fact. There are a number of reasons to suspect that it did not, including (as mentioned earlier) that commercial TPLF contracts generally do not take into account non-pecuniary remedies when determining the funders' reward.[228] A further reason, specific to the non-pecuniary remedy specifically invoked by Sysco, is that the "repair" of business relationships was not an endogenous cost of securing antitrust damages -- it was not like the cost incurred due to payments to lawyers or even the cost incurred to Sysco due to employees taken out of the office for depositions.

The best way of understanding Sysco's criteria that valued the "repair" of relationships it destroyed by suing for antitrust damages (C_1) is that they were time-varying preferences. Recall that Jolls' specific example involved a customer who valued the satisfaction of a preference more the closer in time she got to choosing whether to satisfy the preference. Given that she knew this, her earlier self would rationally want to bind her later self and would recruit the other party to the contract (the bank, in this case) to agree to prohibit future modifications of the contract.

Sysco's preference to settle in order to repair relations with the suppliers is much like that customer. Sysco most likely valued "the repair of

[228] In other words, commercial TPLF contracts are indifferent to non-pecuniary remedies. They may occur, and obviously may be of value to the plaintiff, but they are not taken into account when determining the return received by the funder in the contract's return structure. Therefore, by definition, non-pecuniary remedies, even if they increase the welfare of one party to the contract (the plaintiff) are not included in the joint welfare produced by the contract.

relations" with its suppliers less at T_0 than at T_1. This is ultimately an empirical claim, but it based on the same sort of psychological observation made by Jolls concerning the degree to which people tend -- rationally -- to discount future consumption compared to present consumption.[229] Like many litigants, Sysco may have valued "peace" after litigating for a while; that is, more than it believed it would when it first began litigating. If it knew this about itself (or if Burford knew this about Sysco) it would have been rational for it to have agreed with the funder to "tie itself to the mast" -- like Ulysses -- to ensure that the contract did not allow it to engage in profitable ex post modification that was ex ante welfare reducing for both it and the funder.[230]

This is just another way of saying what Jolls and the U.C.C. both have suggested, albeit in slightly different ways: that where parties can anticipate that one of the parties will want to act on a preference based on a value which is irrational from the perspective of T_0, it is rational for the parties to limit that party's ability to act on that preference at T_1. In the case of the TPLF contract with Sysco, it agreed to limit its ability to act on its preference to repair its relations with its suppliers by granting to Burford a limited right to reject a settlement that prioritized the repair of Sysco's relations with its suppliers unless Sysco could demonstrate that the outcome which prioritized the repair of its relations with its suppliers (and sacrificed some monetary payment) was "commercially reasonable" from the point of view of the criteria it adopted at T_0 -- *when the contract was made.*

E. The Banality of Control in Commercial Law

The Funder Control Critique is wrong in a way that suggests that it is a type of moral panic in law because not only does it fail descriptively -- the instances of purported control it cites are in fact, not actually instances of control over the conduct of litigation causing social harms -- but its characterization of the legal powers of control, when possessed by funders, as abnormal or aberrant, fails as well. Partial control by a party in a commercial finance contract over the conduct of litigation by the

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[229] *See, e.g.,* Jolls, *Bilateral Contracts, supra* note 214 *at* 221 (*citing* P. DeVilliers & Richard J. Hernstein, *Toward a Law of Response Strength*, 83 PSYCHOLOGY BULL. 1131 (1976)).

[230] *See ibid at* 223 ("In this scenario, therefore, the opportunity for ex post profitable modification reduces contractors' welfare"). This is why it is in the interest of both parties, *ex ante*, to agree to bind Sysco.

counterparty/plaintiff, is neither abnormal nor aberrant. It is not common, but when it occurs -- as it sometimes does under the U.C.C. or when it is added by the parties to a commercial TPLF contract, like in *Sysco* -- it is a product of factors which are found in other conventional episodes of contracting between sophisticated parties.

The upshot of this lengthy tour of Article 9 and academic contract theory is that in those few instances where commercial TPLF contracts explicitly seek partial control over the conduct of litigation by the counterparty/plaintiff, nothing is happening that, on its face, warrants any special justification. The parties are specifying a power which is a logical extension of a power already built into the default provisions of the U.C.C. Where the parties take the extra step of specifying when that power can be exercised, and how its exercise would be adjudicated (e.g. by arbitration), nothing more is happening than what standard contract theory would have predicted: when it is in the interests of the parties, they will tailor the contract to maximize the *ex ante* welfare gains produced by the contract. To suggest otherwise -- to stipulate that any step towards transferring control over the conduct of the litigation by the counterparty/plaintiff is abnormal or aberrant because it is inconsistent with the common law's purported commitment to the "sanctity of control over the conduct of one's claim"[231] makes no sense, because, as we have seen, that commitment does not exist in the common law, and contract theory suggests that it should not exist.

V. Taking Stock: Some Realism About Litigation Finance

This article demonstrates that a recent argument critical of TPLF -- that it relies on the transfer of control over the conduct of litigation in a way that has produced social harms and is abnormal under the principles of the common law -- should be rejected. The Funder Control Critique should not play a role in judicial decisions or policy debate.

Two subsequent questions remain. First, what are we to make of the caselaw cited by the proponents of The Funder Control Critique, which on its face seems to support it? Second, to what extent do the arguments made against the Funder Control Critique affect TPLF outside of the commercial context -- such as TPLF involving counterparties who are not sophisticated, such as consumers? Each question will be addressed below.

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[231] Steinitz, *Zombie Litigation, supra* note 72 *at* 10.

A. The Caselaw

As even some of the proponents of the Funder Control Critique concede, there is very little caselaw that addresses the specific question of whether the common law prohibits the partial transfer of control over the conduct of litigation by a counterparty/plaintiff to a funder.[232] But to be fair, there is some caselaw that suggests a hostility to any contract that transfers control.[233] In my previous work, I reported the existence of this caselaw and criticized it on a normative basis.[234] But I accepted that, as a matter of positive law, the common law's hostility to contracts that transfer partial control over the conduct of litigation by the counterparty/plaintiff has persisted into the 21st Century -- including a hostility to contracts that transfer partial control over settlement by the counterparty/plaintiff.[235] If this is the case, then the view adopted by the Funder Control Critique could at least be defended as a good faith application of the common law to modern conditions.[236]

My view now is that any scholarly effort to analyze the positive law based only on the historical record is incomplete and misleading. To be sure, certain Nineteenth Century cases convey, usually in dicta, an unambiguous skepticism of the legal validity of any transfer of control over the conduct of litigation by contract between counterparties. For example, in 1897, the Minnesota Supreme Court held that a TPLF contract was voidable because it violated the common law, and observed that its decision "mainly rest[ed]" on the fact that the contract prohibited the counterparty/plaintiff from settling without the funder's consent, and imposed a contract penalty of a "fixed and arbitrary sum" if the consent provision was ignored.[237] But, by

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[232] *See, e.g., ibid at* 9 ("No court in the U.S. has ever been requested, let alone agreed, to grant permission to a third-party funder to control settlement decisions.").

[233] *See*, *e.g.,* Sebok, *Inauthentic Claim*, *supra* note 12 *at* 109.

[234] *Ibid at* 127 - 33.

[235] *See*, *e.g.,* Sebok, *The Rules of Professional Responsibility and Legal Finance, supra* note 1 at 788 n.65.

[236] For example, Steinitz says that the common law "has long emphasized specifically various facets of the plaintiffs' autonomy and agency over their cases." Steinitz, *Zombie Litigation, supra* note 72 *at* 12.

[237] *Huber v. Johnson*, 68 Minn. 74, 79 (1897) (The court noted that the contract "binds the defendant not to settle the claim without the written consent of the plaintiff, and provides that, if he does settle without plaintiff's consent, he shall pay the plaintiff a fixed and arbitrary sum, without any regard to the amount or value of

the Twentieth Century, the ban on the partial transfer of control becomes more ambiguous, and is found in dicta to explain why TPLF contracts are an upheld being by the court. In these modern opinions, the court would contrast the matter before it, and note that it might have decided otherwise had the funding contract been used to "stir up" litigation or to cause the counterparty/plaintiff to engage in improper litigation conduct.

For example, in *Kraft v. Mason* the court upheld a TPLF contract that did not contain any transfer of control.[238] The court observed that Florida common law only prohibited "officious intermeddling" by third parties, and that, in the case before it, the funder did not "impose her views" about the litigation after advancing the funds.[239] Adopting a similar approach, the Washington Supreme Court upheld a TPLF contract, contrasting it to a hypothetical TPLF contract granting partial control, which it suggested it might not have upheld.[240] After 1897 there is no case that voids a contract because it granted partial control over settlement to the funder.[241]

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the services which the latter may have performed.").

[238] 668 So. 2d 679 (Fla. 4th DCA 1996).

[239] *Ibid at* 683. The court also cited *Brown v. Dyrnes,* 109 So. 2d 788 (Fla. 2d DCA 1959), in which the TPLF contract apparently allowed the funder to demand repayment of the funds advanced if the counterparty/plaintiff settled the case without the funder's consent. *Id. at* 682. However, in *Brown*, in addition to asking for an arbitrary and fixed sum if she settled without his consent, the funder had apparently induced the counterparty/plaintiff to file a groundless lawsuit; and apparently advanced no funds, but would receive 5% of her recovery for his advice in the matter. The *Kraft* court took *Brown* to be a case in which partial settlement control was one factor that contributed to the conclusion that the funder was engaged in "officious intermeddling".

[240] *See Clifford v. Wilcox*, 27 P.2d 722, 725 (Wash. 1933) (funder did not "inject himself into the prosecution of a claim of doubtful nature, or to effect an extortionate or unconscionable settlement").

[241] Both Steinitz and Parikh cite *Boling v. Prospect Funding Holdings, LLC,* 771 F. App'x 562 (6th Cir. 2019) in support of their view that the common law does not permit the partial transfer of control over settlement by contract between a funder and a counterparty/plaintiff. *See* Steinitz, *Zombie Litigation, supra* note 72 *at* 14 *and* Parikh, *Opaque Capital, supra* note 87 *at* 59. While *Boling* is a significant case for the modern law of TPLF, it does not directly address the issue of settlement control, since *the contract* in *Boling* said nothing about settlement control.

In *Boling* the Sixth Circuit, interpreting Kentucky statutory prohibition of champerty, held that the consumer TPLF contract could not be enforced because it violated Kentucky's public policy. *Boling,* 771 F. App'x at 581 - 82. The problem with using *Boling* to support the Funder Control Critique is that the decision sweeps too broadly -- the holding is that every TPLF contract is void in Kentucky.

In fact, a close reading of the caselaw suggests that the courts, after the Nineteenth Century might, had they been asked directly, accepted that control over the conduct of litigation could be transferred if the funder did not impose commercially unreasonable costs on the counterparty/plaintiff or create socially unproductive litigation. The proponents of the Funder Control Critique miss this nuance -- they conflate "officious intermeddling" with *any* transfer of control over litigation conduct to the funder.[242] This conclusion is based on a negative inference drawn from dicta where the courts spoke hypothetically about types of contracts that *would* violate public policy *if* they existed.[243] None of these courts held that the contracts actually before them were unenforceable because they gave the funder the power to "officiously intermeddle" with the counterparty/plaintiff's litigation. In other words, we do not actually know what any of these courts would have said if asked to strike down or otherwise declare illegal a funding contract that transferred some control to the funder under circumstances where the counterparty/plaintiff had sought out the funder, and the funder, in exchange for investing in the law suit, sought to protect itself by demanding that the counterparty/plaintiff give the funder the power to

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See id. While there is dicta in *Boling* criticizing the funder for taking partial control over the selection of the counterparty/plaintiff's lawyer (which is not the same as partial control over settlement, which the funder did not have) it was irrelevant to the application of Kentucky law to the case, and to the holding. *See id. at* 580.

[242] *See, e.g.,* Steinitz, *Zombie Litigation, supra* note 72 *at* 15 (stating that "officious intermeddling" includes "influencing the litigation", "prolonging the litigation", and "controlling the litigation").

[243] *See, e.g., Miller v. Caterpillar, Inc.,* 17 F. Supp. 3d 711 (N.D. Ill. 2014) (rejecting claim that funding contract was champertous); *Maslowski v. Prospect Funding,* 944 N.W.2d 235 (2020) (reversing lower court finding that funding contract was against Minnesota public policy); *and Osprey, Inc. v. Cabana Ltd P'ship*, 340 S.C. 367 (S.C. 2000) (abolishing champerty as a defense in South Carolina and enforcing funding contract).

There is one exception: *Mize v. Kai, Inc.,* No. 17-cv-00915, 2018 WL 1035084, at *5 (D. Colo. Feb. 23, 2018), where the court clearly rejected a putative funding contract, in part because it gave control over settlement to the funder. But the unusual facts of this case makes it easy to distinguish. First, without using the term, the court found that the funder was engaging in barratry. The counterparty/plaintiff had been paid by the funder to sue under the Americans With Disabilities Act. *See ibid* at *4. Second, the court and court suspected that the counterparty/plaintiff and the funder were engaged in a fraud on the court. *See id. at* *5. Ironically, *Mize* supports the argument made in this section, since Colorado courts have held that a third party *may* take partial control over settlement if the suit brought by the counterparty/plaintiff is meritorious. *See* Sebok, *Inauthentic Claim, supra* note 12 *at* 113 (*citing Casserleigh v. Wood*, 59 P. 1024 (Colo. App. 1900)).

prevent the litigation conduct that was commercially unreasonable (such as accepting a settlement like the Example of a $1 and an apology).

When a modern court looks for the *ratio decidendi* of a case, it typically looks for the rationale behind the decision by another court to allow one party or another to prevail on the facts presented in the written opinion.[244] The rationale is more than the verbal formulation set out by court when it held that one party would prevail; it is the reasoned extension of that formulation to new facts.[245] Goodhart thought that the task of the judge seeking to identify the *ratio decidendi* depended on the proper identification of the "material facts" in the precedent which produced the holding.[246] Despite its intuitive appeal and widespread acceptance, Goodhart's approach has been subject to criticism.[247] One major line of attack came from the Legal Realists, especially Herman Oliphant.[248]

For the Realists, Goodhart's approach, while mostly successful, suffered from a vulnerability. They observed that, as legal complexity grew over the centuries, the constraining role of the material facts upon which judges relied was diminished and the verbal formulation of the *ratio decidendi* grew, almost in direct proportion, to be more abstract and general.[249] For a Realist like Oliphant, this development was a product of social and political change (which he assumed, uncontroversially) was a good thing, but not itself inevitable. One hidden cost of this development was the failure of legal reasoning to distinguish between spurious generalizations, which led courts away from principled adjudication, and generalization

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[244] *See, e.g.,* Arthur L. Goodhart, *Determining the Ratio Decidendi of a Case,* 40 YALE L.J. 161, 162 (1930-31).

[245] *See, e.g.,* Marc McAllister, *Dicta Redefined*, 47 WILLAMETTE L. REV. 161, 169 (2011) (describing the conventional view that "the holding should include a case rationale, a view referred to as the 'rationale-based' approach").

[246] *See ibid at* 685 (Goodhart's view was "that the 'principle of the case is found by taking account (a) of the facts treated by the judge as material, and (b) [the court's] decision as based on them.'") (*quoting* Goodhart, *Determining the Ratio Decidendi of a Case, supra* note 244).

[247] *See, e.g.,* Larry Alexander, *Constrained by Precedent*, 63 S. CAL. L. REV. 1, 28-29 (1989) (despite its incoherence, Goodhart's approach to precedent continues to be widely understood as typifying common law reasoning).

[248] *See* Herman Oliphant, *A Return to Stare Decisis*, 14 A.B.A. J. 71, 107 (1928).

[249] *See ibid at* 75 ("Absolutes and universals begin to replace mere generalizations. Broad principles begin to spring from few cases. If there be only one case in point and that be in conflict with some implication of our favorite universals, it is wrong -- wrong on principle.")

grounded in social and political reality, which would align with principled adjudication:

> The shift from stare decisis has not been from absolute particularity to absolute generality but from greater particularity to greater generality. But the difference, though one of degree, has been great enough to alter the very texture of our work even though the outlines of its design seem still unchanged. . . . There has been such a shift in our work on cases from particularity to generality of treatment and such a shift of life from the grooves of our present long-standing abstractions, that our scholarship becomes loose and unreal. . . . Our categories of thought have become unreal by life having left them behind.[250]

One practical result for the Realists was that any principled treatment of earlier precedent requires constant vigilance for changes in other parts of the law that would either overlap or illuminate one's selection of the "material facts" that inform the *ratio decidendi*.[251]

The Realists' warning a century ago can be usefully applied to the treatment of the caselaw by the proponents of the Funder Control Critique. This Article has demonstrated that there have been legally relevant changes in the material conditions surrounding the TPLF over the past century. These changes provide a principled reason to read the caselaw used by the Funder Control Critique quite narrowly.

1. Changes in the TPLF Markets

The mix of TPLF contracts is quite different today than even thirty years ago. Although the general idea of commercial TPLF was known as early as the Eighteenth Century (and probably before), the reality on the ground was that the counterparty/plaintiffs were more similar to what today we call consumers, and the funders were often not much more sophisticated.[252]

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[250] *Id. at* 76.

[251] *See, e.g.,* William E. Nelson, *The Integrity of the Judiciary in Twentieth-Century New York,* 51 RUTGERS L. REV. 1, 17 (1998) (the Realists "proclaimed 'precedents are without force when based upon differences and distinctions which have been destroyed by later judicial decision or by statute'") (citation omitted).

[252] Bentham discussed a hypothetical TPLF contract in his essay on champerty that involved a wealthy individual (and heir) who sought funding from a group of

2. Changes in Other Areas of Law

The law in adjacent doctrinal fields is very different than in 1897, when a case like *Huber* was decided. Dynamic changes in adjacent fields of law took place in at least two ways.

First, there were outright reversals of precedent (either through adjudication or statute) in the law of assignment and insurance law. In both fields, the presumption against control was abandoned. In the context of the law of assignment, there was a stark reversal.[253] Where once there was a presumption against a third party gaining control over the conduct of litigation by assignment, the presumption was reversed: in the United States, except in a handful of isolated categories, choses in action are now freely assignable to strangers.[254] In insurance law, the change was more subtle, but no less significant. Liability insurance only became a topic of litigation after its introduction in the late Nineteenth Century.[255] For this reason, the subsidiary question of the legal power of insurers to contract for control over their insureds' litigation was only addressed by courts at the start of the Twentieth Century.[256] This story of doctrinal change is less one of reversal than discovery: Once courts were apprised that contracts between insurers and insureds transferred control to the former, they quickly endorsed the idea, notwithstanding the obvious tension between these contracts and older precedents asserting the principle that any contract between a stranger and

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investors to sue his faithless guardian to recover the balance of a large estate. *See Letter from Jeremy Bentham: Letter XII: Maintenance and Champerty* (Mar. 1787), *in* DEFENCE OF USURY 117, 123 (1816). It is not necessary to determine with precision whether today this would be classified as consumer or commercial TPLF; it bears the hallmarks of both categories.

[253] *See, e.g.,* W.S. Holdsworth, *The History of the Treatment of Choses in Action by the Common Law*, 33 HARV. L. REV. 997, 1020 - 22 (1920); *and see Rice v. Stone* , 83 Mass. 566, 568 (1861) ("[At one time a] thing in action, cause of suit or title for condition broken, could not be granted or assigned over at common law. . . . But this ancient doctrine has been greatly relaxed") *and Osuna v. Albertson*, 184 Cal. Rptr. 338, 345 (Ct. App. 1982) (discussing how "the tendency of modern jurisprudence strongly favors the assignability and the survivability of things in action").

[254] *See, e.g.,* Sebok, *Inauthentic Claim, supra* note 12 at 74.

[255] *See, e.g.*, KENNETH ABRAHAM, THE LIABILITY CENTURY 14 (2008) ("liability insurance was not introduced in England or the United States . . . until the 1880s").

[256] *See ibid at* 36 - 38.

a litigant granting control to the former was champertous or "official intermeddling".[257]

Second, in the last century activity by legislatures suggests support for the transfer of partial control over the conduct of litigation in commercial settings -- which undercuts the argument that these contracts violate public policy. This is the lesson of the review in Section IV.B. of the powers granted to a funder under U.C.C. Article 9. The point of this review is not only to support my claim that, contrary to what proponents of the Funder Control Critique assert, there is nothing abnormal or aberrant about the control provisions found in a commercial TPLF contract like the one at issue in *Sysco*; it is to provide context for another claim -- that there is no public policy against the transfer of partial control rights in commercial contracts.[258]

Any argument rooted in public policy must take into account the law as it is, not as it once was.[259] One of the most important -- and legitimate -- sources of the "law in action" is contemporary legislation, since it is a primary source of evidence about what some portion of the public believed the law should be in connection with some question of public regulation. If this is the case, then the broad support and rapid adoption of the U.C.C. should be a primary source of evidence about what those who thought about contract law -- at least in the commercial setting -- thought about the partial transfer of control over the conduct of litigation by a counterparty/plaintiff to a secured party. The answer is clear: U.C.C. § 9-607(a) allows it, and, although uncommon, courts will enforce the exercise of that power. Rather than speculate about what courts might do, if hypothetically, faced with a contract in which control over settlement was partially transferred by a counterparty/plaintiff to a funder, we can ascertain, without speculation,

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[257] *See, e.g., Jessup v. Davis*, 115 Neb. 1, 211 N.W. 190, 195 (1926), *overruled on other grounds by Fielding v. Publix Cars*, 130 Neb. 576, 265 N.W. 726 (1936) (observing that the standard liability insurance contract, which gave settlement control to the insurer, was a "transaction . . . clearly within the reason upon which the early English doctrine of champerty and maintenance was based").

[258] This point has been made forcefully by Brad Wendel. *See* W. Bradley Wendel, *Controlling the Delegation of Control,* 25 THEORETICAL INQ. L. 63 (2024).

[259] This is, of course a theme central to Realism:

> [For Oliphant] adjudication and legal scholarship have, through reliance on increasingly general classifications of legal problems, become detached and remote from everyday life. Courts regulate life with a steadily decreasing feeling for its realities.

Charles W. Collier, *Precedent And Legal Authority: A Critical History*, 1988 WIS. L. REV. 771, 784 (1988) (citations omitted).

what legislation widely adopted by many states concretely permits. Instead of a "process of logical elaboration" based on counterfactuals, we have concrete evidence from the real world.[260] Surely the latter should be preferable to the former.[261]

B. Consumer TPLF

The argument made in the previous section demonstrates that the caselaw upon which the proponents of the Funder Control Critique rely cannot be extended to commercial TPLF. Their effort to use the *Sysco* case as a warning against allowing the partial transfer of control over the conduct of litigation fails not only descriptively and normatively, but it also fails on the level of legal interpretation: the caselaw they cite does not actually support the conclusion that the common law is hostile to contracts of the sort that was at issue in *Sysco*. But the contract in *Sysco* involved a secured party, operating within the U.C.C., facing a sophisticated counterparty/plaintiff. What lessons, if any, can we take from that to the case of consumer TPLF?

Here, too, the Realists offer a useful antidote to the Funder Control Critique' moral panic. As was noted at the beginning of this Article, moral panic is typically rooted in the identification of genuine social harms.[262] Analysis rooted in a moral panic errs both in the attribution of spurious causation for those harms and in the attribution of some degree of abnormality and aberrancy to the putative causes of the harms.[263] Legal Realism, while not self-consciously addressing the phenomenon of moral panic in legal analysis, was concerned with some of the same errors are produced by moral panic in legal analysis. Specifically, it provided a prophylactic against the tendency towards overreach that resulted from legal interpretation based on abstraction.[264] Llewellyn, for example, criticized overly abstract

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[260] *See, e.g.,* Oliphant, *A Return to Stare Decisis*, *supra* note 248 at 75.

[261] *See ibid* ("[O]ur scholarship becomes loose and unreal. . . . [N]o alert sense of actuality checks our reveries in theory.").

[262] See *supra* Section I.

[263] See *ibid.*

[264] Karl Llewellyn called this the "Formal Style". KARL LLEWELLYN, THE COMMON LAW TRADITION: DECIDING APPEALS 38 (1960). It was characterized, in part, by the use of broad categories to decide cases which were often not fit for purpose. *See, e.g.,* Yishai Blank, *The Reenchantment Of Law*, 96 CORNELL L. REV. 633, 641 (2011) ("The need to create concrete, 'smaller,' and situation-sensitive legal categories and rules

legal reasoning on the ground that it could "only maintain coherence by peeling off parts of the body of law it is attempting to theorize or systematize".[265] The solution was to adopt a skeptical attitude towards legal conclusions based on "hypothetical reasoning" and to try instead to "reformulat[e] our generalizations so as to make them bring out more clearly just what the past phenomena described really are."[266] One rule adopted by the Realists to achieve this "was that 'general statements in any opinion were to be read in connection with the facts of the particular case before the court' and 'limited to what was actually decided.'"[267]

In fact, if we apply this rule to a recent case on TPLF, we can see that its holding is quite different than what the proponents of the Funder Control Critique claim. Recall that in 1897 the Minnesota Supreme Court held in *Huber* that a TPLF contract was unenforceable, and the court specifically stated that one reason the contract violated public policy is that the counterparty/plaintiff would be obliged to give the funder a "fixed and arbitrary sum" if the former settled the case without the latter's consent.[268] The counterparty/plaintiff was a farmer and the lawsuit that was funded was a trespass action against a railroad.[269] More than a century later, the Minnesota Supreme Court reversed *Huber's* holding on champerty.[270] Yet Steinitz claims that in Minnesota, notwithstanding *Maslowski*, "courts *still* reject" a funder contracting to "control[] the litigation" of the counterparty/plaintiff.[271]

A Realist would ask, what did *Huber* decide, and what did *Maslowski* reverse? *Huber* held that in the case of consumer TPLF, any third-party funding for profit conflicted with Minnesota common law. *Maslowski* held that *Huber's ratio decidendi* was no longer good law. A Realist would

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that will replace the broad and abstract concepts and categories was a major theme that legal realists developed.").

[265] Larry A. DiMatteo, *Reason and Context: A Dual Track Theory of Interpretation*, 109 PENN ST. L. REV. 397, 452 (2004).

[266] Walter Wheeler Cook, *The Logical and Legal Bases of the Conflict of Laws*, 33 YALE L.J. 457, 487 (1924).

[267] Nelson, *The Integrity of the Judiciary in Twentieth-Century New York*, *supra* note 251 at 17 (*quoting Gwynne v. Board of Educ.*, 181 N.E. 353, 355 (N.Y. 1932)).

[268] *Huber,* 68 Minn. *at* 79.

[269] *Ibid at* 76.

[270] *Maslowski v. Prospect Funding Partners LLC*, 944 N.W.2d 235, 249 (Minn. 2020) ("we abolish Minnesota's common-law prohibition against champerty").

[271] Steinitz, *Zombie Litigation, supra* note 72 *at* 15.

observe that, since *Huber* was a consumer TPLF case, its *ratio decidendi* did not necessarily extend to commercial TPLF. In any event, if there were any doubt about whether it did, that doubt should have been cleared up by *Maslowski*. Not only was that case about a consumer TPLF contract, but the Minnesota Supreme Court held that, like any other consumer contract, the TPLF contract at issue could still be voided if it were substantively or procedurally unconscionable.[272] The court pointedly went out of its way to stress that its holding in 2020 meant that in Minnesota, a TPLF contract that otherwise satisfied Minnesota contract law would be enforced.[273] In the context of the consumer TPLF contract at issue in *Maslowski*, that meant that the counterparty/plaintiff could argue -- like any consumer counterparty -- that the substantive terms of the contract made it unconscionable.[274]

Following Cook's advice that we should "reformulat[e] our generalizations so as to make them bring out more clearly just what the past phenomena described really are," we see that Minnesota common law, limited to the facts of the holdings of the caselaw, is quite narrow in connection to TPLF. The concrete focus on unconscionability -- a doctrine rooted in consumer contracting -- makes that clear.[275] Once this limitation is clearly established, the Court of Appeals' dicta quoted by Steinitz -- that a consumer TPLF contract that transfers "control over settlement" is *per se* unconscionable -- can be seen for what it is: a narrow (and perhaps idiosyncratic)

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[272] *See Maslowski v. Prospect Funding Partners LLC*, 994 N.W.2d 293, 306 (Minn. 2023) (Moore, J., concur.) ("Our court has never explicitly formulated an approach for determining whether a contract is unconscionable. Most courts considering the question require a showing of both procedural unconscionability and substantive unconscionability.").

[273] *Ibid at* 309 ("When we abolished the common-law prohibition on champerty 3 years ago, we opened the door to litigation financing in Minnesota . . . . Equitable remedies like unconscionability are an important backstop for individuals who are able to challenge the enforceability of unfair litigation financing agreements in courts.").

[274] Maslowski, the counterparty/plaintiff, had argued in district court that the consumer TPLF contract was unconscionable because (1) its liquidated damages clauses were penalty clauses because it "limit[ed] Maslowski's control over her underlying lawsuit" and (2) violated Minnesota's usury statute. The district court found that Maslowski had proven both claims and refused to enforce the contract. *See Maslowski v. Prospect Funding Partners LLC*, 978 N.W.2d 447, 457 - 59 (Minn. Ct. App. 2022) (summarizing district court judgement).

[275] *See, e.g.,* Elizabeth Warren & Oren Bar-Gill, *Making Credit Safer*, 157 U. PA. L. REV. 1, 71 (2008) ("Unconscionability review is most commonly applied to contracts between consumers and sophisticated corporations").

application of consumer protection law.[276] The lower courts' proposed legal rule -- which was never adopted by the Minnesota Supreme Court[277] -- might be both good consumer law and good policy, but it would be hard to reconcile with modern commercial law. The lower courts held that the TPLF contract could not oblige the consumer to use "reasonable efforts" to protect the funder's investment.[278] Whether or not the contract in fact said that is unclear.[279] But even if it did, nothing in the courts' reasoning entails that a *commercial* TPLF contract could not, in Minnesota, oblige the counterparty/plaintiff to use "reasonable efforts" to protect the funder's investment. In fact, as this article has demonstrated, there are many reasons to think that contract theory would positively advise that, under certain circumstances, such control be transferred, and the U.C.C. already provides for such control as a default rule under Article 9.[280]

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[276] *See Maslowski*, 978 N.W.2d *at* 457 ("Restricting Maslowski's freedom to enter into settlements . . . offends the same principle as that at issue in *Huber*—namely, an outside party may not influence a litigant's efforts to settle a legal claim through the imposition of fixed penalties.").

[277] The trial court's finding that the liquidated damages clause was unconscionable was not before the Minnesota Supreme Court, which reversed the trial court (and the appellate court, which upheld it) solely on the finding that the contract was unconscionable because it violated a usury statute. *See Maslowski*, 994 N.W.2d *at* 302 ("[none] of the briefs submitted to this court . . . contain any discussion of common-law unconscionability whatsoever").

[278] *See Maslowski*, 978 N.W.2d *at* 457 (finding that a contract provision "[r]estricting Maslowski's freedom to enter into settlements . . . if she fails to 'use reasonable efforts'" to protect the funder's investment was unconscionable).

[279] *See* Appellants' Brief and Addendum, *Maslowski v. Prospect Funding*, No. A21-1338, November 11, 2021, 2021 MN APP. CT. BRIEFS LEXIS 229 at *8 (contract stated that funder had no control over "the conduct of the Legal Claim or any settlement or resolution thereof and that the right to make such decisions remains solely with [Maslowski] and [Maslowski's] attorney").

[280] This is why, as a matter of nomenclature, contemporary contract theorists are wary of using "contract law" as a single doctrinal area, and prefer to limit discussions of contract law to agreements between commercial entities. *See, e.g.,* Schwartz & Scott, *Contract Theory and the Limits of Contract Law*, *supra* note 209 at 544:

> Parties to transactions can be partitioned into individuals and firms. . . . (1) A firm sells to another firm, (2) an individual sells to another individual, (3) a firm sells to an individual, and (4) an individual sells to a firm. . . . Category 1 contracts (those between firms) as the main subject of what is commonly called contract law . . . the Uniform Commercial Code (U.C.C.) and the provisions of the Restatement (Second) of Contracts.

There is no reason to conclude that what was said by various lower courts in dicta about consumer TPLF applies automatically to commercial TPLF, and there are many reasons to conclude that, in fact, the common law would take a very different view of the question of transfer of control over settlement were the question raised in the context of a commercial TPLF contract as opposed a consumer TPLF contract. Whatever the right answer may be in connection to the common law's treatment of TPLF contracts, it will not depend on the mechanical and wooden application of the so-called "principle" that "it is difficult to conceive of any stipulation more against public policy than a contract term requiring the litigation financier's permission to settle the underlying litigation".[281]

This Article is about a certain kind of error currently affecting how courts are being asked to think about TPLF -- what I have called the Funder Control Critique. In Section III, I argued that as a descriptive matter, the Funder Control Critique errs in attributing to contractual control provisions, such as the one at issue in *Sysco*, the social harms that were suffered by personal injury plaintiffs in the TVM cases, or the deception that arguably was perpetrated by the "litigation funders" in the IP Edge and Mavexar cases. The laypeople who were induced to participate in those schemes are not identical to the consumers who typically participate in the consumer TPLF market, but they share salient features -- they are often vulnerable because of their economic precarity and their lack of access to high-quality legal advice.[282]

Much work remains to be done to protect consumers and laypeople who are not engaging in commercial TPLF. The work should start with accurately identifying those features of consumer TPLF contracts which produce social harm to the counterparty/plaintiffs, or to defendants, or to the legal system. It is possible, for example, that the method by which the funder's return on investment is calculated is unnecessarily and dangerously opaque, or, because of market failure, so high, that courts should declare the contracts void because of unconscionability or insist that they be subject to consumer lending limits on maximum interest. It is possible that, because consumers suffer from predictable forms of irrational optimism,

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[281] Steinitz, *Zombie Litigation, supra* note 72 *at* 16 (*quoting Maslowski*, 944 N.W.2d *at* 241 (*quoting Huber*, 70 N.W. at 808)).

[282] This group of persons occupy Categories 2 - 4 in Schwartz & Scott's typology; they are the proper subject of labor law, consumer protection law and retail investor-oriented securities law. *See* Schwartz & Scott, *Contract Theory and the Limits of Contract Law*, *supra* note 209 at 545.

discoverable through rigorous behavioral economic studies, courts should refuse to enforce a consumer TPLF to contract that would give the funder more than a certain set proportion of the consumer's net proceeds (after legal fees and liens are paid). It is possible that, if a funder seeks control over an important aspect of the conduct of a consumer's litigation, courts should consider to refuse to enforce that part of the contract, if it appears that the control will be exercised in an improper manner by the funder.[283] While all this is possible, at the same time it is also possible for courts to overreact. Prohibiting socially beneficial TPLF contracts on the basis of inaccurate and spurious claims about the nature of the common law or the dangerous consequences of allowing certain contract terms would be costly and would interfere with the freedom of contract[284]. That is what this Article is intended to prevent -- it is not intended to inhibit consumer TPLF reform based on an accurate picture of TPLF.

Conclusion

TPLF feels new -- as if it just emerged recently into modern law.[285] But in reality, it has been developing over the last 125 years in tandem with other parts of law, such as commercial law. Commercial law has itself undergone tremendous growth and change since the late Nineteenth Century.[286] This Article draws attention to growth in the law of secured transactions -- and the modern contract theory that supports those changes -- to support its skepticism of sweeping claims about the inherent nature of

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[283] Note that all of these social harms might be best identified and best protected against by regulation and legislation, not litigation. *See Maslowski*, 994 N.W.2d at 307 - 08 (Moore, J., concur.) ("[W]e cannot ignore the disparity in bargaining power between the litigation financing companies and the individuals who may feel financially compelled to turn to them in order to have their day in court . . . it would be beneficial for the Legislature to address these concerns through regulation of the litigation financing industry.").

[284] *See, e.g.,* Henderson, *The Justice Case for Litigation Finance*, *supra* note 213.

[285] *See, e.g.,* MARK POPOLIZIO, VERISK, FOLLOW THE NEW MONEY TRAIL: THE RISE OF THIRD-PARTY LITIGATION FUNDING 4 (2021) ("In the United States, third-party funding in its current form is newer and is noted to have really taken hold over the past decade.").

[286] See, e.g., Steven L. Harris & Charles W. Mooney, Jr., *A Property-Based Theory of Security Interests: Taking Debtors' Choices Seriously*, 80 VA. L. REV. 2021, 2022 (1994) (noting, how, in contrast with contemporary commercial law, "[t]he nineteenth and early twentieth century saw many secured transactions struck down on the ground that they were at least potentially injurious to unsecured creditors").

contract law and its relationship to TPLF. This Article's goal is to expand how scholars, courts, and policymakers describe TPLF.

There is no single law of TPLF. If there were one in the Nineteenth Century and earlier, that fact is interesting as a matter of legal history, but not as matter of legal analysis. The doctrine critiqued by this Article -- the Funder Control Critique -- is a product of certain kind of formalism against which we were warned by the Legal Realists over a century ago. Contract law, as it applies to commercial TPLF, bears no relation to contract law as it applies to consumer TPLF, even on questions as basic as whether the counterparties can transfer partial control. The temptation to provide simple, one-size-fits-all tests is great -- lawyers are their most useful when then can answer hypotheticals that have not yet even been asked -- but it is especially unhelpful in the context of TPLF.[287]

As the theory of moral panic has shown in other fields of law, genuine concern for social harms can be misguided if it is not constrained by an accurate picture of cause and effect, and if it is rooted in a preconceived idea of what is "normal" and what is "aberrant". That is what has happened recently with the current focus on control in recent efforts to address TPLF. There is little value in starting with the question of control when looking at TPLF contracts as an abstract category; the right place to start is with the question of interest: what interest is being promoted by the funding? If it is a commercial interest, the next set of questions will be very different than if it is a consumer interest.

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[287] I know this temptation. In discussing the relationship between a lawyer's obligation to give competent legal advice to a client (and to avoid assisting a client in violating the law), I stated without qualification, that "a lawyer should counsel a client to refuse any funding agreement that allows a funder to take control of any settlement, which would be seen as against public policy in every state or withdraw from representation if the client persists in granting the funder control." Sebok, *The Rules of Professional Responsibility and Legal Finance, supra* note 1 at 788. This statement, while well-intentioned, was not sufficiently clear. It did not distinguish between commercial and consumer TPLF; or partial and complete control; or whether the control exercised is commercially reasonable. Those distinctions should have been made explicit in the article.